MSBF MERCHANT CREDIT INTELLIGENCE

Initial 750-Merchant Cohort Overview

Decisioning, Portfolio & Servicing Intelligence

Comprehensive Module 2 analysis supported by governed Power BI evidence

MODULE 2 | v2.1.0-rc2

Observed-source cutoff: 2026-07-23 | Cohort report R3
Synthetic-forward lifecycle: through 2026-11-22

EXECUTIVE OVERVIEW

Baseline supports a broader governed decision frontier; Recession Energy is sharply selective, and funded paths remain operationally controlled at endpoint

Five conclusions capture the full application-to-servicing story.

FIXED COHORT

750

1,500 application-scenario paths

BASELINE SUPPORTABLE

40.0%

300 paths; 103 authorized

STRESS SUPPORTABLE

10.7%

80 paths; 27 authorized

BASELINE FUNDING

$1.385M

103 synthetic funded accounts

OUTCOME DIFFERS IN STRESS

31.5%

236 of 750 matched pairs
Baseline vs. Recession Energy

Decision resilience

Every Recession Energy authorization was retained from the Baseline-authorized population. No merchant became newly authorized under stress. The stress scenario therefore constrains the decision frontier rather than creating artificial upside.

Economics under stress

Funded amount contracts 75.2%, supportable rate declines 29.3 percentage points, comparative expected-loss rate rises 2.0 points, and risk-adjusted contribution falls 79.7%.

Lifecycle and servicing

Baseline ends with 99 of 103 funded paths paid off, four severe-shortfall accounts, $7,823.28 attention exposure, $6,061.03 certified exposure, and zero unresolved exceptions. Stress ends with all 27 paths paid off.

Comparison: final governed decision category for the same merchant/application, Baseline vs. Recession Energy (page 14). Alternative synthetic scenarios—not sequential outcomes, forecasts or a software-version comparison.

EVIDENCE BASE

How source data, analytical figures and Power BI views support this report

750 synthetic merchants, two alternative scenarios: source records supply the calculations; screenshots demonstrate report coverage.

POWER BI SCREENSHOTS	P01 COMMAND CENTER	P02 COHORT LIFECYCLE	P03 APPLICATION JOURNEY	P04 SERVICING
94	32	32	28	2
Retained images—not merchants	Full portfolio + industry + source	Full cohort + industry + source	Decision and narrative branches	Baseline and Recession Energy

What the evidence covers

Population: 750 matched merchant/application pairs, each with one Baseline and one Recession Energy path (1,500 paths).

Calculations: charts and metrics use source-derived records, not measurements estimated from screenshots.

Coverage: P01/P02 show full portfolios plus industry and acquisition-source slices. P03 examples cover authorization, review and the separate decline reasons.

Controls: P04 scenarios, account selections, tooltips, alt text, tab order and seven-result QA; P03 narrative and monitoring QA are retained.

What the acceptance references mean

PBIX is the Power BI report file. R3 identifies its support package; canonical R7 identifies its documented source/reference state.

IA-D-R17-PBI-001 = ACCEPT for Power BI. Cohort-report review is separate.

IA-PBI-PUB-HANDOFF-001 = AUTHORIZED for controlled handoff only—not live publication.

DataModel unchanged; owner-approved capture reuse accepted.

File: MSBF_Merchant_Credit_Intelligence_M2_v2.1.0-rc2.pbix

SHA-256: ca46e8551860…047b5294e4

The private carrier retains source bytes, scripts, keys, hashes and figure identities.

Matched-scenario comparison: “changed” means a different final decision category for the same merchant/application—not a change over time, between software versions or across strategy profiles.

What this cohort overview does - and does not - claim

The analysis is a governed synthetic decisioning and lifecycle evaluation through Module 2.

In scope

- Fixed 750-merchant population
- Two governed scenarios per merchant
- Application evidence and seven final outcomes
- Requested and proposed structures
- Synthetic funding and 120-day monitoring
- Intervention, setup, servicing execution, reconciliation, and certification
- Industry and acquisition-source segmentation

Authority and timing

- R26 is the accepted Module 2 / G3-v2 technical successor baseline; Module 1 / G2 remains accepted
- IA-D-R17-PBI-001 = ACCEPT for the final Power BI candidate
- IA-PBI-PUB-HANDOFF-001 authorizes handoff only
- Public Module 2 / G3 v2.0.0 remains controlling public authority until supersession and GitHub publication are separately authorized and executed
- P01-P04 are frozen; P05/P06 remain excluded
- Source cutoff: 2026-07-23; synthetic endpoint: 2026-11-22
- This overview does not itself execute publication

Out of scope

- No real customers or production servicing
- No causal or treatment-effect claims
- No audited profitability or CECL conclusion
- No forecast of future losses or collections
- No inference that Recession Energy occurs after Baseline
- No public-release authorization implied by this overview

All dollar amounts, dates, outcomes, and account trajectories are deterministic synthetic evidence designed to evaluate architecture, strategy, governance, and analytical consumption.

COHORT ARCHITECTURE

A fixed cohort expands into decision, funding, monitoring, and servicing evidence

ApplicationScenarioKey preserves exact scenario identity through every downstream stage.

APPLICATION

750 merchants 1,500 paths

Profile, request, evidence

DECISION

7 outcomes 1,500 final rows

Requested/proposed terms

FUNDING

130 funded scenario paths

Physical funding date

MONITORING

15,600 daily rows 120 days each

Status, pace, alerts, runoff

SERVICING

130 rows per stage M2.6-M2.10

Intervention to certification

Scenario identity control

Baseline and Recession Energy stay separated at application-scenario grain; downstream lifecycle evidence exists only when the exact path is authorized and physically funded.

Reconciliation control

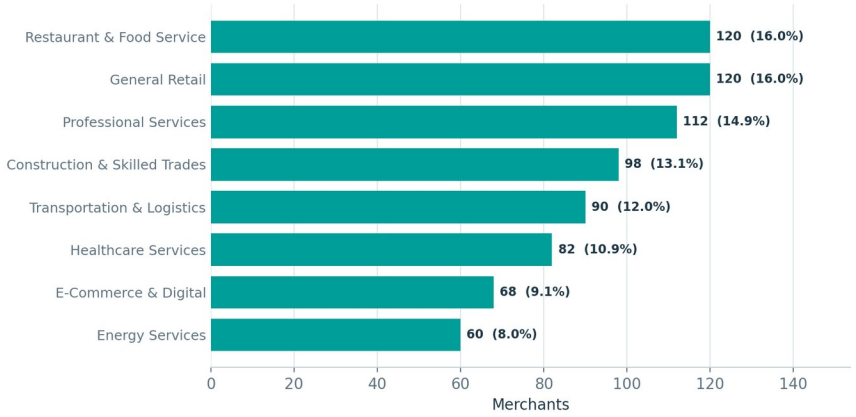
Intervention, setup, execution, certification, and portfolio-performance tables each contain 130 unique keys, matching funded-lifecycle and monitoring membership.

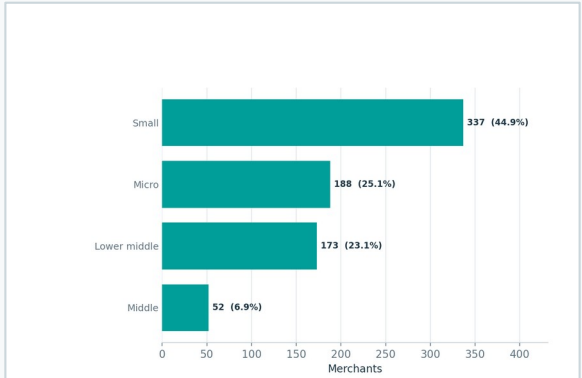
Current QA: 130 unique keys across every M2.6-M2.10 stage; 15,600 monitoring rows; zero P03 operational reconciliation failures.

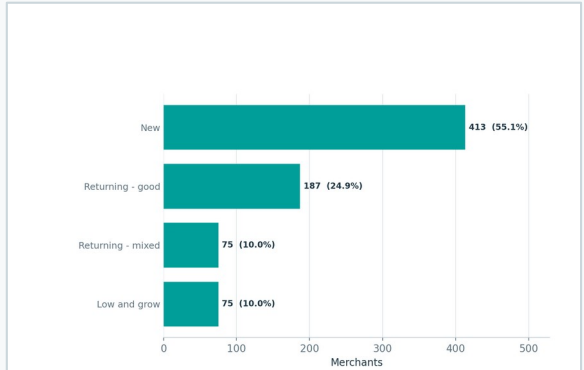
COHORT PROFILE

The 750 merchants span eight industries, multiple size tiers, relationship stages, and sourcing channels

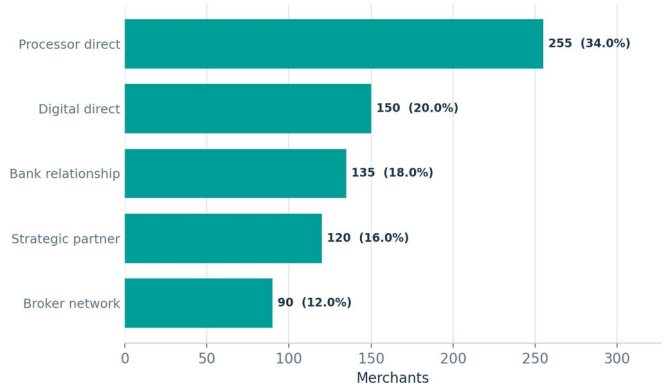
The population is broad enough to expose segment, source, and scenario differences without being dominated by one segment.







Source: R1DimApplicationScenario - fixed cohort composition



Composition readout

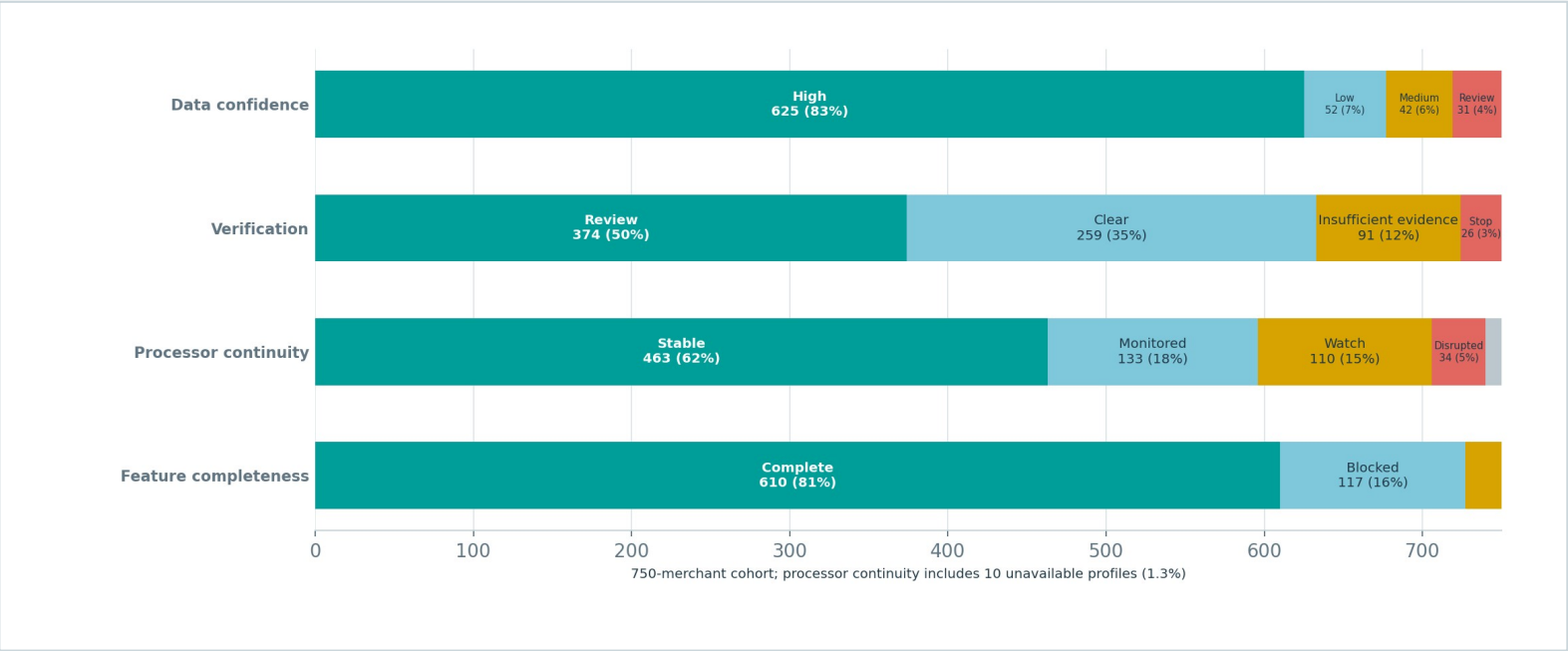
- Retail and restaurant are the largest industries at 120 merchants each
- 70.0% of merchants are Micro or Small
- 55.1% are new relationships; 24.9% are returning-good
- Processor direct is the largest channel at 34.0%, followed by digital direct at 20.0% and bank relationship at 18.0%

Parent channel -> normalized source family: Processor Direct -> Processor Embedded; Bank Relationship -> Relationship; Digital Direct -> Paid / Owned / Organic; Strategic Partner -> Strategic Partner; Broker Network -> Broker or Lead.

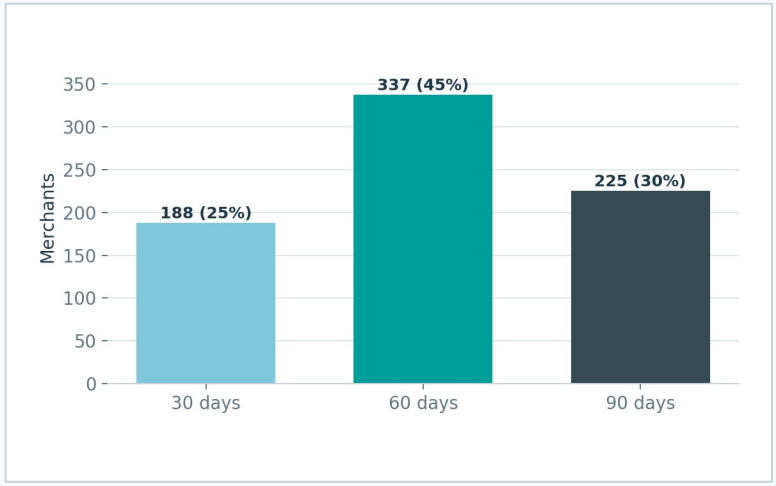
APPLICATION EVIDENCE

Requests are right-skewed, while evidence quality is generally strong but verification friction is common

Evidence availability is a first-order driver of stress outcomes.



Evidence tiers, verification dispositions, processor continuity, and feature completeness



Requested horizon mix

MEDIAN REQUEST

$9.9K

Mean $25.4K; max $150K

MEDIAN SALES

$690K

663 merchant profiles with eligible-sales evidence

MEDIAN LIQUIDITY

$33.9K

675 merchant profiles with balance evidence

HIGH CONFIDENCE

83.3%

625 merchant profiles

VERIFICATION REVIEW

49.9%

374 merchant profiles

The request distribution is skewed: median $9.9K versus mean $25.4K. Evidence confidence is high overall, but nearly half of the cohort requires some verification review.

01

Decisioning and scenario resilience

How evidence, structure search, policy controls, and stress floors shape the final decision frontier.

Seven outcomes separate authorization, review, and decline reasons

The framework avoids compressing all non-approvals into one undifferentiated rejection population.

AUTHORIZED

Approve as requested

Counteroffer authorized

Downstream effect:
- Physical funding record
- 120-day monitoring path
- Lifecycle, servicing, and certification evidence

REVIEW

Counteroffer review

Manual underwriting review

Downstream effect:
- Proposed/supportable structure may exist
- Specialist judgment required
- No funding or account lifecycle until authorized

DECLINED

Evidence decline

No feasible structure

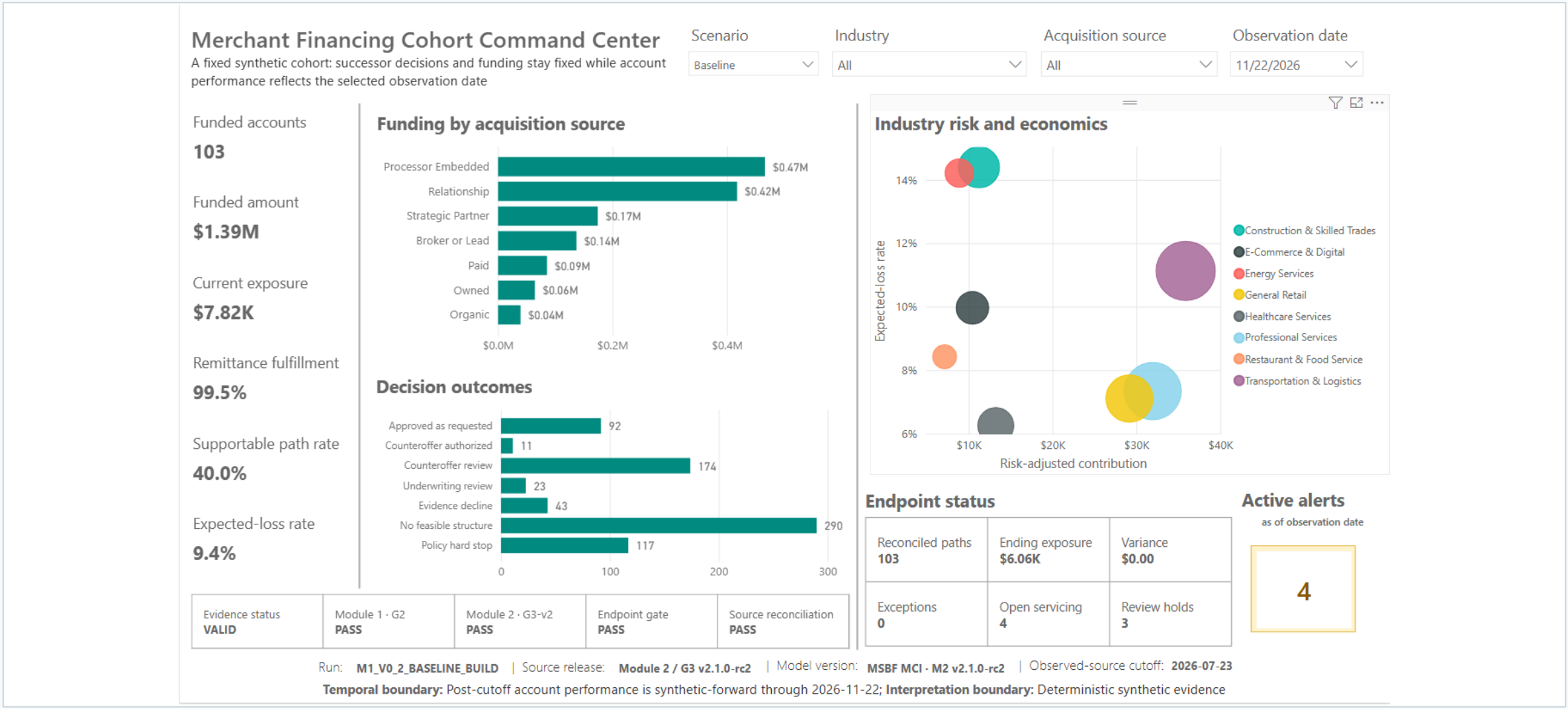
Policy hard stop

Downstream effect:
- No funding
- No monitoring or servicing evidence
- Distinct reason preserved for interpretation

Supportable path rate = authorized paths + governed review paths. It is broader than the authorized-offer rate and should not be read as an approval rate.

Baseline command center

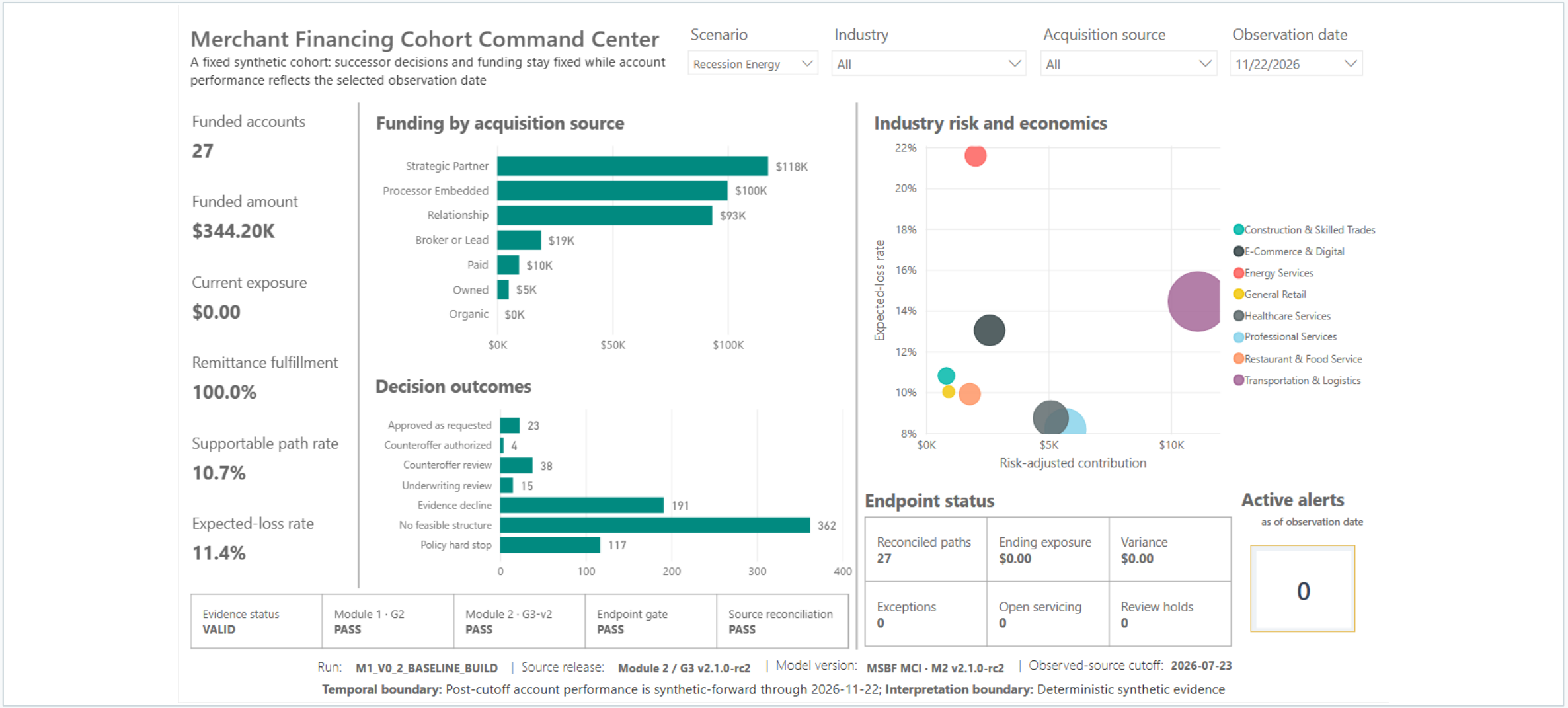
The primary portfolio view reconciles decisions, funding, risk-adjusted economics, endpoint state, and active attention.



Power BI P01 - Baseline, observation date 2026-11-22

Recession Energy command center

Stress sharply narrows the supportable frontier while preserving clean endpoint reconciliation.



Power BI P01 - Recession Energy, observation date 2026-11-22

Stress reduces access and economics without creating false improvements

The same 750 merchants are evaluated under both scenarios.

METRIC	BASELINE	RECESSION ENERGY	CHANGE
Authorized paths	103	27	-76
Supportable paths	300	80	-220
Funded amount	$1.385M	$344.2K	-$1.041M
Authorized-offer rate	13.7%	3.6%	-10.1 pp
Supportable rate	40.0%	10.7%	-29.3 pp
Comparative EL rate	9.4%	11.4%	+2.0 pp
Risk-adjusted contribution	$147.98K	$30.03K	-79.7%
Endpoint exposure	$7.82K	$0	-$7.82K

Access contraction

Authorized paths fall 73.8%; funded dollars fall 75.2%. The supportable frontier contracts even more broadly from 300 to 80 paths.

Economics shift

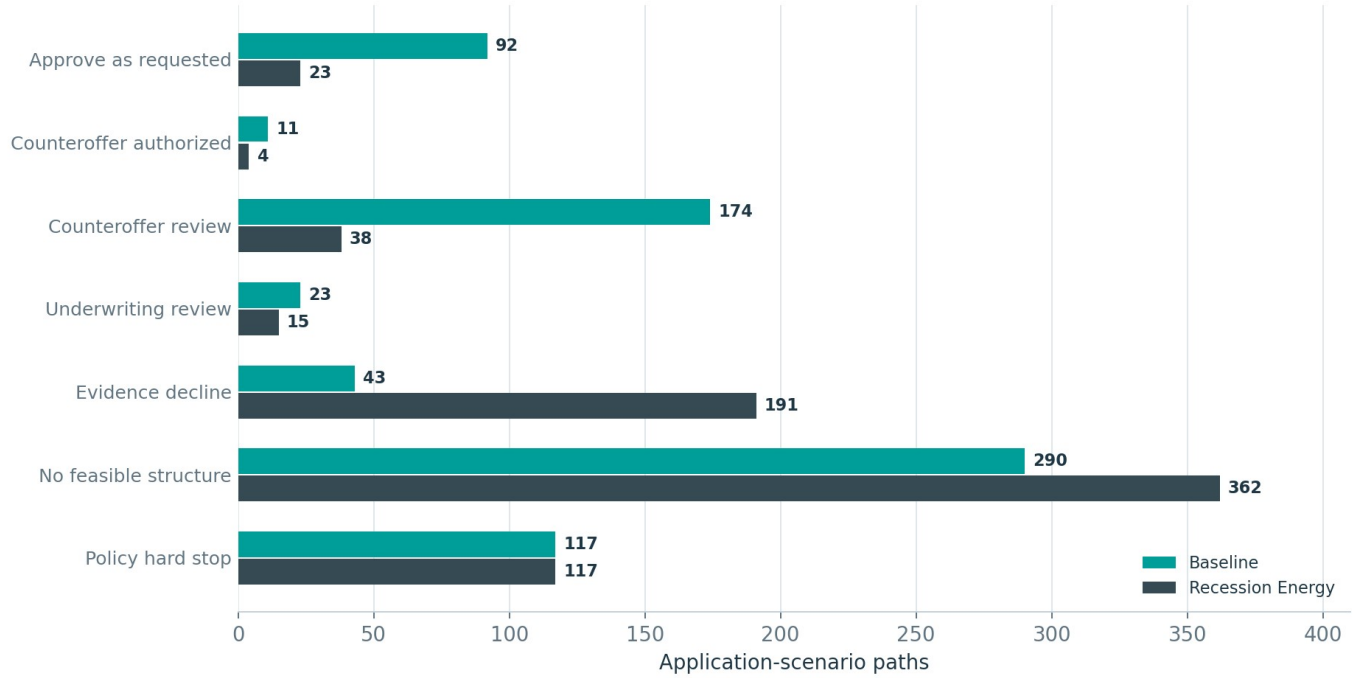
Expected-loss rate rises while risk-adjusted contribution falls nearly 80%. The smaller stress cohort is economically weaker, not merely smaller.

All 27 stress authorizations were already authorized in Baseline; stress produced zero new authorized paths.

DECISION DISTRIBUTION

Stress shifts the cohort from review and approval toward evidence decline and no-feasible outcomes

Policy hard stops remain invariant at 117 paths.



Largest shift

Evidence declines increase from 43 to 191, a rise of 148 paths.

No-feasible expansion

No-feasible outcomes rise from 290 to 362 as stressed capacity and the non-improvement floor eliminate candidates.

Review population contracts

Counteroffer review falls from 174 to 38 because many Baseline-reviewable paths become evidence declines or no-feasible under stress.

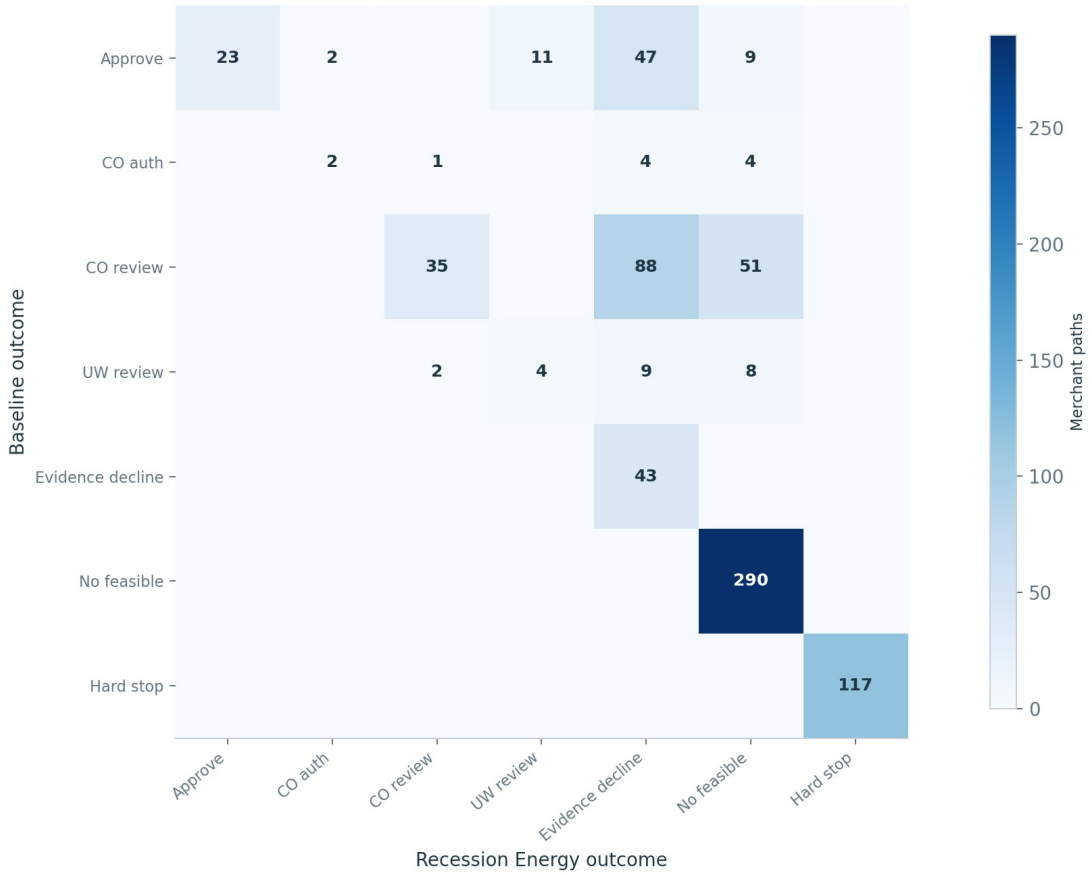
Source: R1FactFinalDecision

The hard-stop population remains 117 in both scenarios, confirming that non-remediable policy boundaries do not soften or worsen merely because scenario assumptions change.

OUTCOME MIGRATION

236 merchants change governed outcome under Recession Energy

The heatmap shows where the fixed Baseline population moves under stress.



Rows = Baseline outcome; columns = Recession Energy outcome

UNCHANGED

514

68.5% of merchants

CHANGED

236

31.5% of merchants

Most common migration

88 counteroffer-review paths become evidence declines.

Second-largest migration

51 counteroffer-review paths become no-feasible structures.

Authorized-path sensitivity

47 Baseline approvals become evidence declines; 11 become manual-review paths; 9 become no-feasible.

GOVERNANCE CONTROL

The stress non-improvement floor prevents artificial scenario improvements

Stress may preserve or worsen a path relative to its matched Baseline route; it cannot manufacture a more favorable decision.

FLOOR APPLIED	OUTCOME CHANGES	CANDIDATE CHANGES	STRESS-ONLY AUTH	RETAINED
169	166	39	0	27
22.5% of merchant paths	Governed result changed	Selected/reselected candidate	No artificial upside	All stress auth



Control conclusion

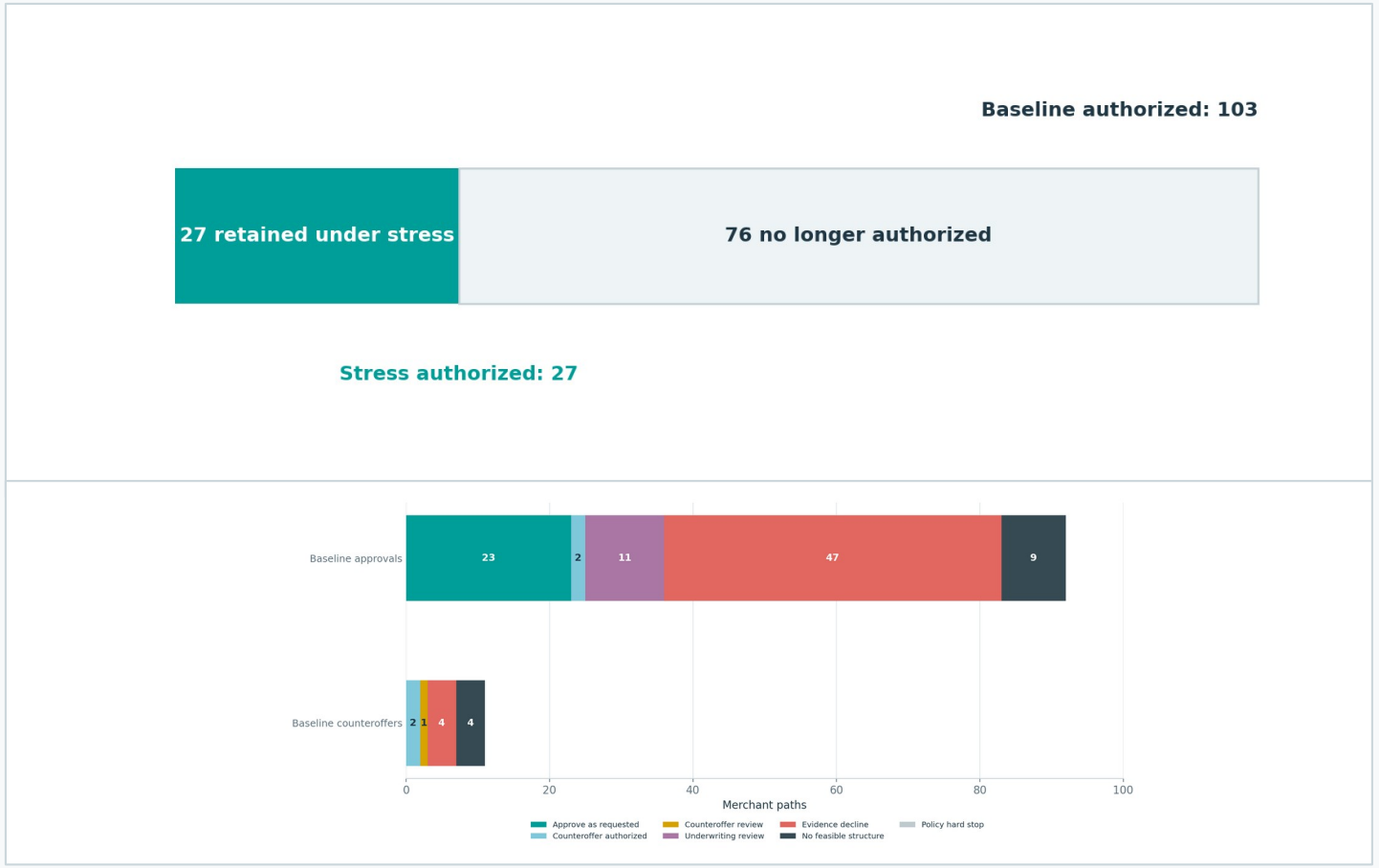
The floor is a governance constraint, not a post-hoc reporting adjustment. It operates at matched application-scenario identity and is visible in P03 narratives such as merchant 082.

Outcome-change and candidate-change counts are separate, overlapping control dimensions and are not additive.

AUTHORIZATION RETENTION

Only 27 of 103 Baseline-authorized paths remain authorized under stress

Stress eliminates 76 authorizations and creates none.



Where Baseline-authorized paths move under stress

COUNT RETENTION

26.2%

27 / 103 paths

DOLLAR RETENTION

24.8%

$344.2K / $1.385M

Baseline approvals

Only 23 of 92 remain approve-as-requested. Two become counteroffer-authorized; the rest move to review or decline.

Baseline counteroffers

Only 2 of 11 remain counteroffer-authorized; four become evidence declines and four become no-feasible.

The engine completed every required search and preserved no-feasible proof

Search volume falls under stress, while no-feasible outcomes rise because stress-floor inheritance also governs matched routes.

BASELINE SEARCHES	BASELINE CANDIDATES	STRESS SEARCHES	STRESS CANDIDATES	PROOF
495	4,120	285	2,399	100%
495 attempted and complete	Median 7; max 34	285 attempted and complete	Median 7; max 34	All no-feasible

Baseline search population

495 paths required expanded search. The engine evaluated 4,120 governed alternatives and produced 290 no-feasible outcomes with corresponding proofs.

Stress search population

285 paths required direct stress search, but 362 paths ultimately carry no-feasible proof because approved non-improvement-floor routes can inherit a matched Baseline no-feasible conclusion.

A no-feasible outcome is a governed search conclusion, not a generic decline label: the architecture preserves candidate evaluation and proof availability.

Supportable paths use multiple remediation patterns - not only amount cuts

Most selected paths preserve the full requested amount; policy-adjusted terms remain targeted.



Supportable paths by selected-structure treatment

BASELINE FULL REQUEST

115 / 300

38.3% of supportable paths

STRESS FULL REQUEST

38 / 80

47.5% of supportable paths

Selected-structure amount ratio

Median selected amount relative to request is 100% in both scenarios. Means are 90.6% in Baseline and 91.5% in Recession Energy. Review-only structures are included; no funding is implied.

Baseline supportable structure mix: 115 requested, 44 amount reduction, 82 remittance adjustment, 59 combined restructure. Stress: 38, 17, 19, and 6.

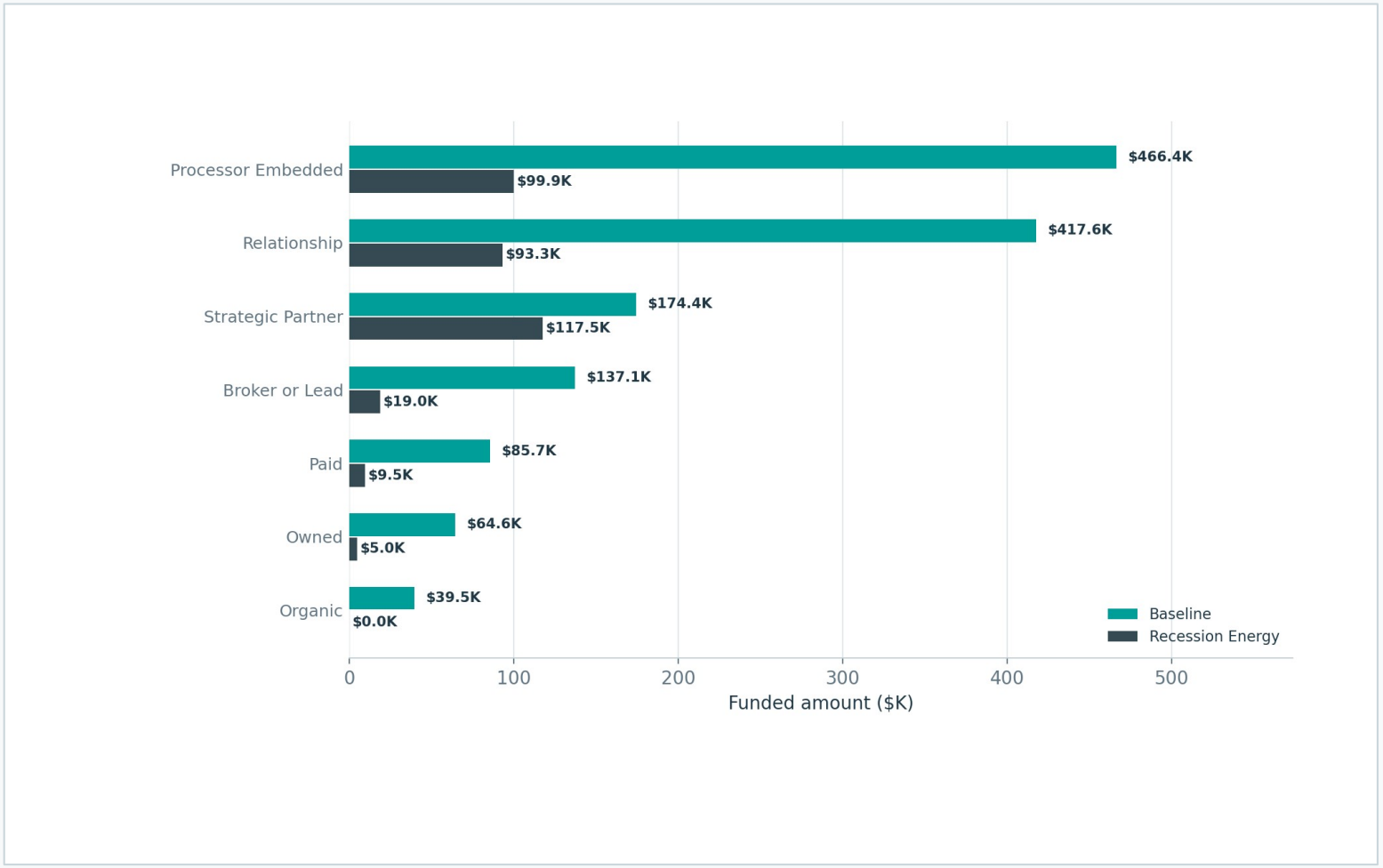
02

Segment performance

Where funding, supportability, risk, and contribution concentrate across acquisition sources and industries.

Funding is concentrated in Processor Embedded and Relationship channels in Baseline

Strategic Partner becomes the largest funded-dollar source under stress.



Funded amount by source and scenario

Baseline concentration

Processor Embedded ($466K) and Relationship ($418K) account for 63.8% of Baseline funded dollars.

Stress leadership

Strategic Partner leads stress funding at $117.5K, followed by Processor Embedded at $99.9K and Relationship at $93.3K.

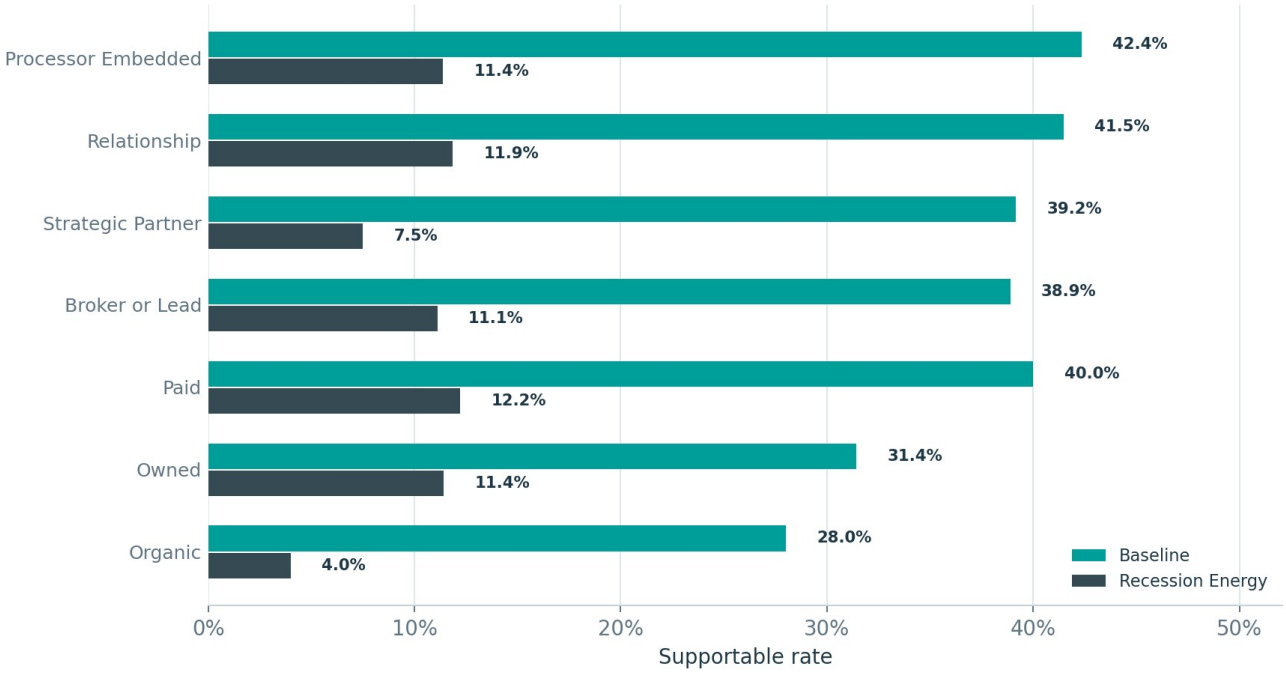
Organic channel

Organic produces four Baseline funded paths but no stress-funded paths; its supportable rate falls to 4.0%.

Normalized acquisition-source families are shown; the accepted parent-channel crosswalk is on slide 6.

Every source experiences a lower supportable rate under stress

The size of the decline varies materially by channel.



Supportable path rate by acquisition source

Highest Baseline rate

Processor Embedded leads at 42.4%, followed by Relationship at 41.5%, Paid at 40.0%, and Strategic Partner at 39.2%.

Highest stress rate

Paid leads at 12.2%, followed by Relationship at 11.9%, Owned at 11.4%, and Processor Embedded at 11.4%.

Retention perspective

Strategic Partner retains 8 of 16 Baseline-funded accounts and 67% of Baseline funded dollars - the strongest dollar retention among major channels.

Normalized acquisition-source families are shown; the accepted parent-channel crosswalk is on slide 6.

Source-level economics show different combinations of volume, resilience, and risk

Normalized source families (crosswalk: slide 6). In this table, Stress = Recession Energy.

SOURCE	BASE FUNDED	STRESS FUNDED	BASE SUPPORT	STRESS SUPPORT	BASE EL	STRESS EL
Processor Embedded	$466K	$100K	42.4%	11.4%	10.7%	11.7%
Relationship	$418K	$93K	41.5%	11.9%	6.9%	8.6%
Strategic Partner	$174K	$118K	39.2%	7.5%	9.6%	13.7%
Broker or Lead	$137K	$19K	38.9%	11.1%	11.5%	13.7%
Paid	$86K	$10K	40.0%	12.2%	7.3%	7.2%
Owned	$65K	$5K	31.4%	11.4%	16.2%	21.3%
Organic	$40K	$0	28.0%	4.0%	8.4%	N/A

Relationship channel

Combines high Baseline volume with the lowest Baseline expected-loss rate among major sources.

Strategic Partner

Shows the best funded-dollar resilience but a materially higher stress expected-loss rate.

Owned

Small volume but the highest expected-loss rates in both scenarios; selection remains particularly conservative.

Segment expected-loss rates describe scenario-specific selected funded cohorts. A lower aggregate rate under stress may reflect selection/composition, not matched-path improvement; the path-level stress non-improvement floor remains controlling.

Baseline industries occupy distinct risk-contribution positions

Bubble size represents funded amount; axes show risk-adjusted contribution and comparative expected-loss rate.



Baseline industry risk and economics

Transportation & Logistics

Highest Baseline funded amount ($337.4K) and contribution ($35.9K), with 11.1% expected loss.

Professional Services

Highest supportable rate (58.0%) and 30 funded accounts; $314.8K funded with 7.3% expected loss.

Healthcare Services

Lowest Baseline expected-loss rate (6.25%) and a 43.9% supportable rate, though funded dollars are comparatively modest.

Stress preserves a narrow set of sector opportunities and widens risk dispersion

Energy Services reaches the highest stress expected-loss rate; Transportation retains the most funded dollars.



Recession Energy industry risk and economics

Transportation & Logistics

Retains 7 funded accounts and $139.5K - the largest stress funded amount and contribution ($11.1K).

Professional Services

Highest stress supportable rate at 21.4%, but funded amount falls to $67.1K.

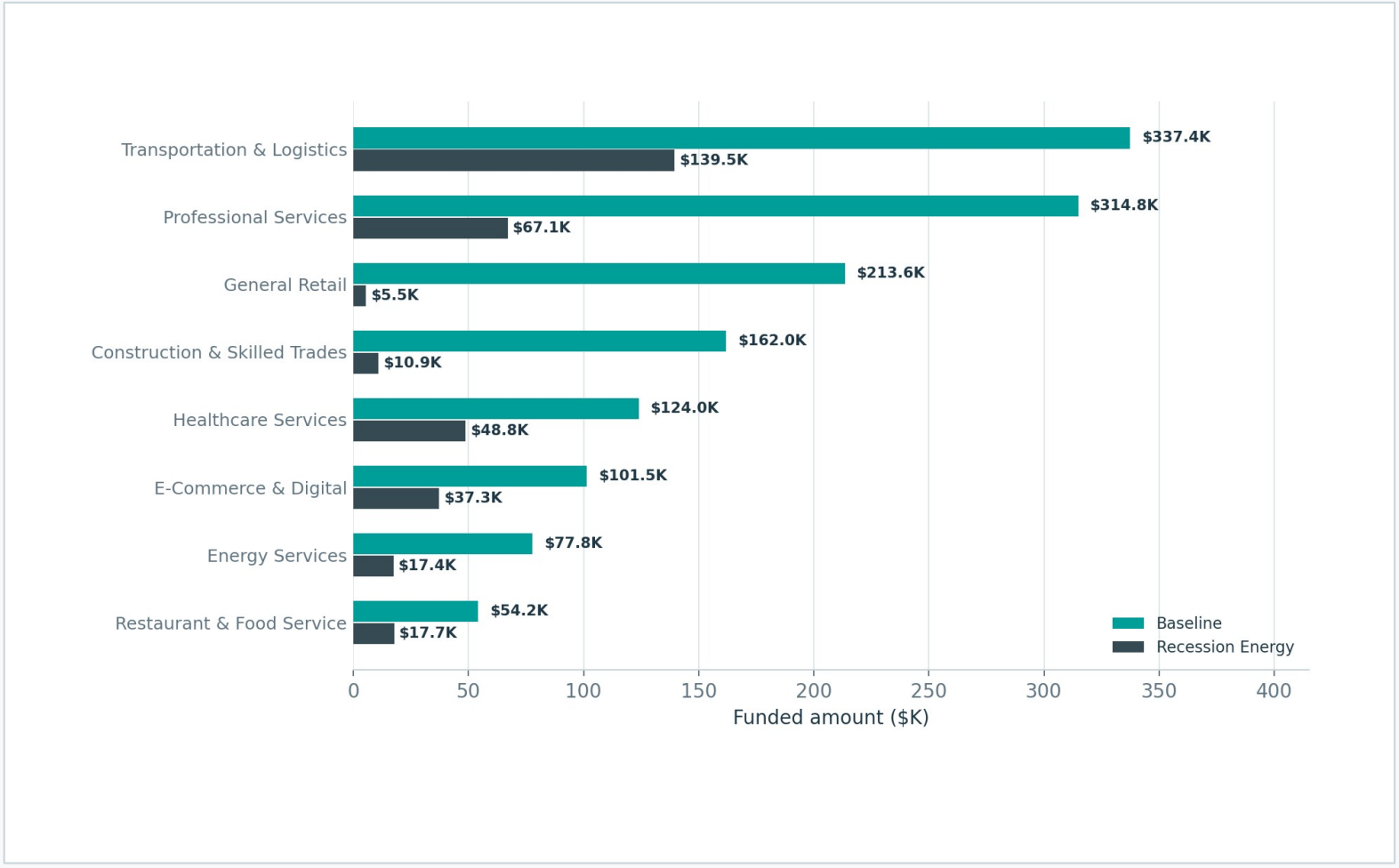
Energy Services

Stress expected-loss rate rises to 21.6%, the highest sector result, while only two paths are funded.

Segment expected-loss rates describe scenario-specific selected funded cohorts. A lower aggregate rate under stress may reflect selection/composition, not matched-path improvement; the path-level stress non-improvement floor remains controlling.

Stress funding contraction is broad but uneven

Transportation, Healthcare, and Restaurant retain a larger share of funded dollars than several other sectors.



Funded amount by industry and scenario

Largest absolute base

Transportation and Professional Services together represent 47.1% of Baseline funded dollars.

Distinct stress dimensions

Energy carries the highest stress comparative expected-loss rate; Transportation retains the largest stress-funded amount. Interpret these industry dimensions separately.

Portfolio implication

Sector diversification does not remove scenario sensitivity; the most resilient dollar concentrations still contract materially.

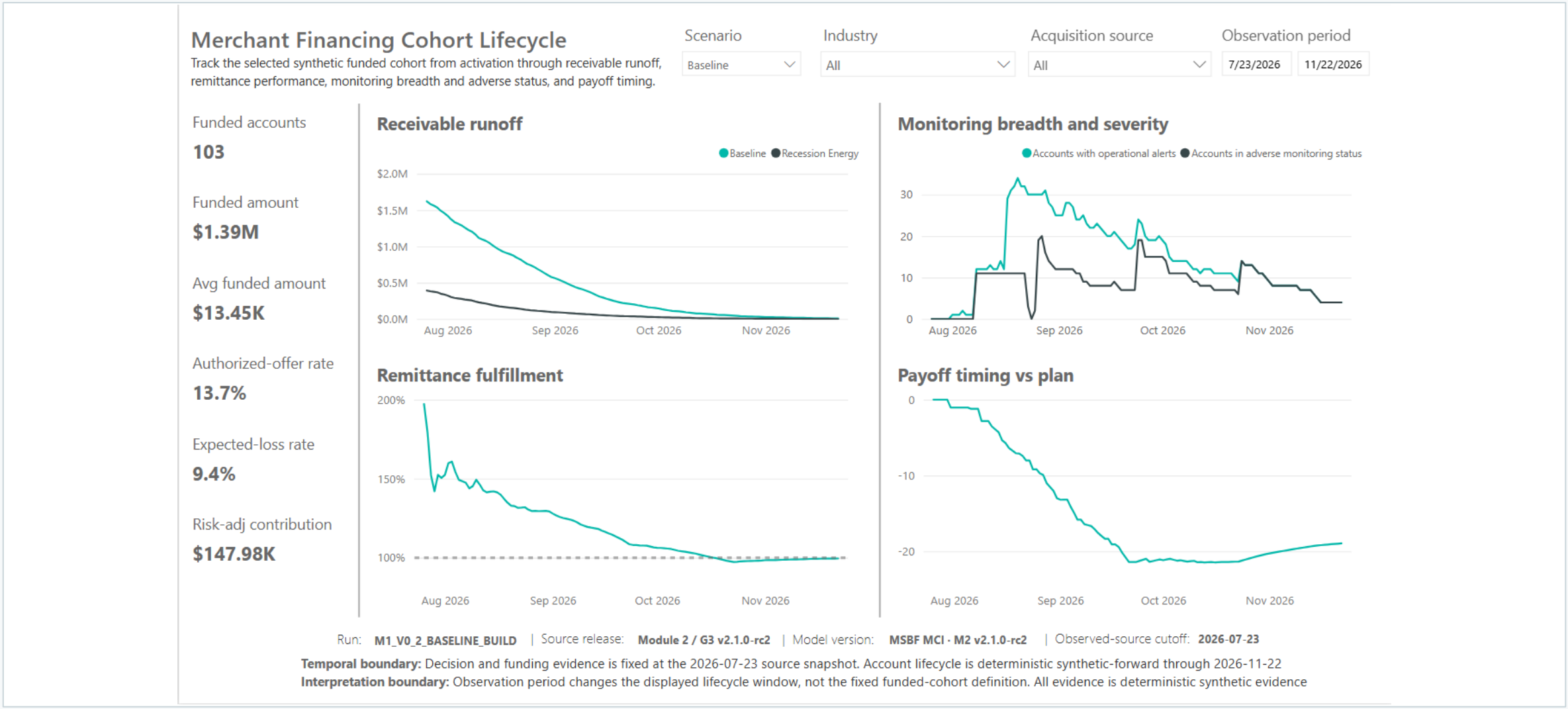
03

Funded-cohort lifecycle

How the authorized cohort runs off, pays against plan, generates alerts, and reaches its governed endpoint.

Baseline cohort lifecycle

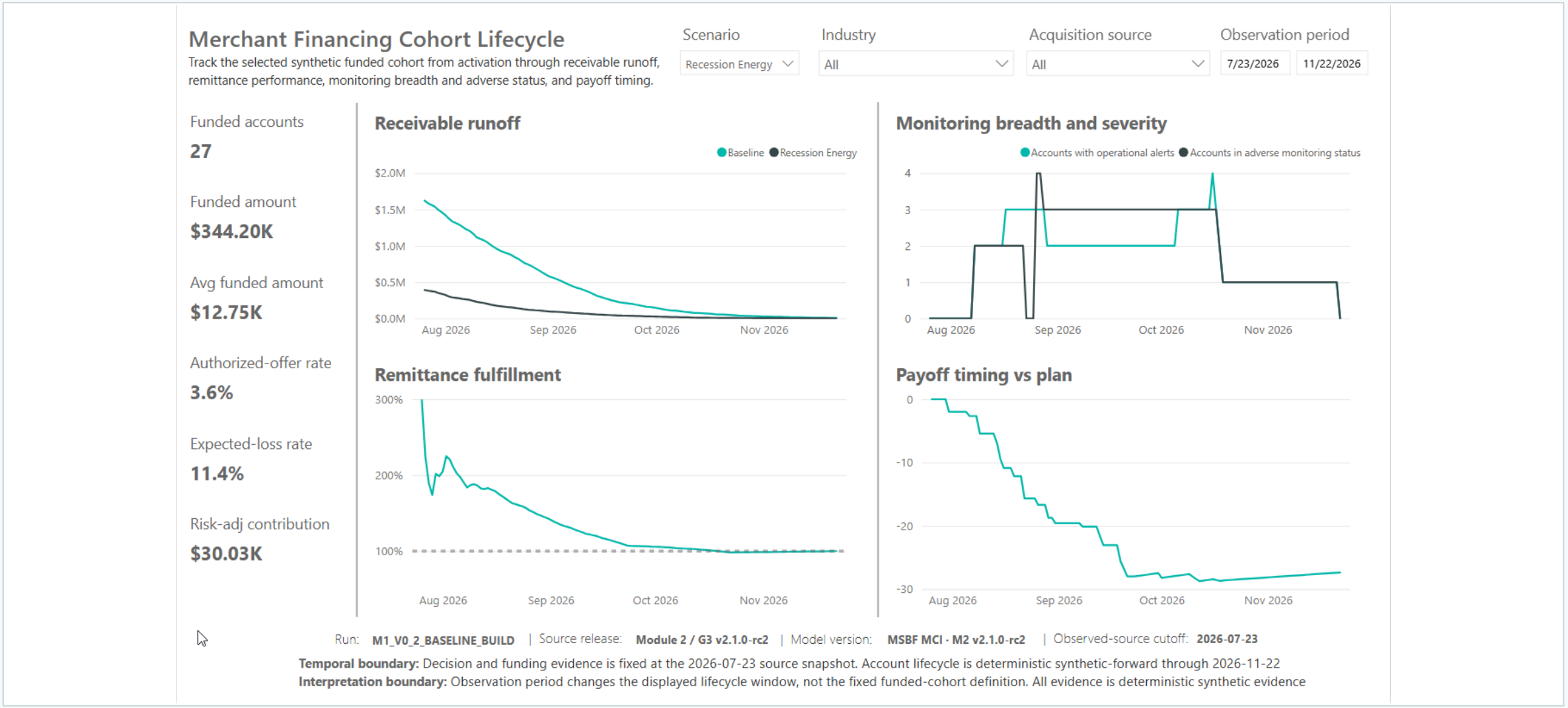
The funded cohort runs from activation through receivable runoff, remittance performance, monitoring, and payoff timing.



Power BI P02 - Baseline lifecycle

Recession Energy cohort lifecycle

The smaller stress-funded cohort reaches full payoff with no endpoint exposure or operational servicing population.

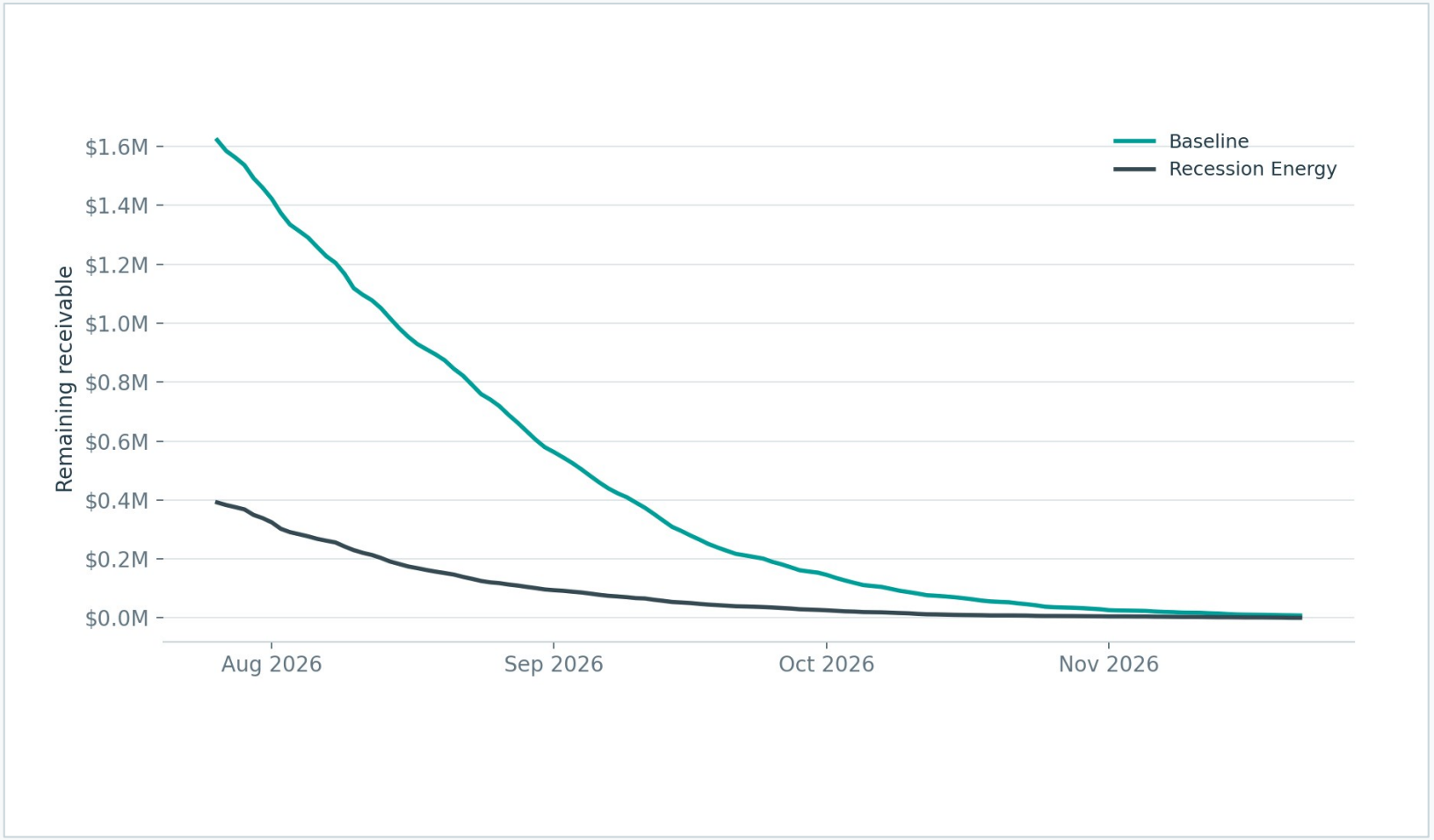


Power BI P02 - Recession Energy lifecycle

LIFECYCLE

Receivable runoff is steep in both funded cohorts

Baseline starts with a much larger repayment receivable and ends with four residual-exposure accounts.



Daily receivable balance across the governed 120-day lifecycle

BASELINE ENDPOINT

$7,823

4 adverse accounts

STRESS ENDPOINT

$0

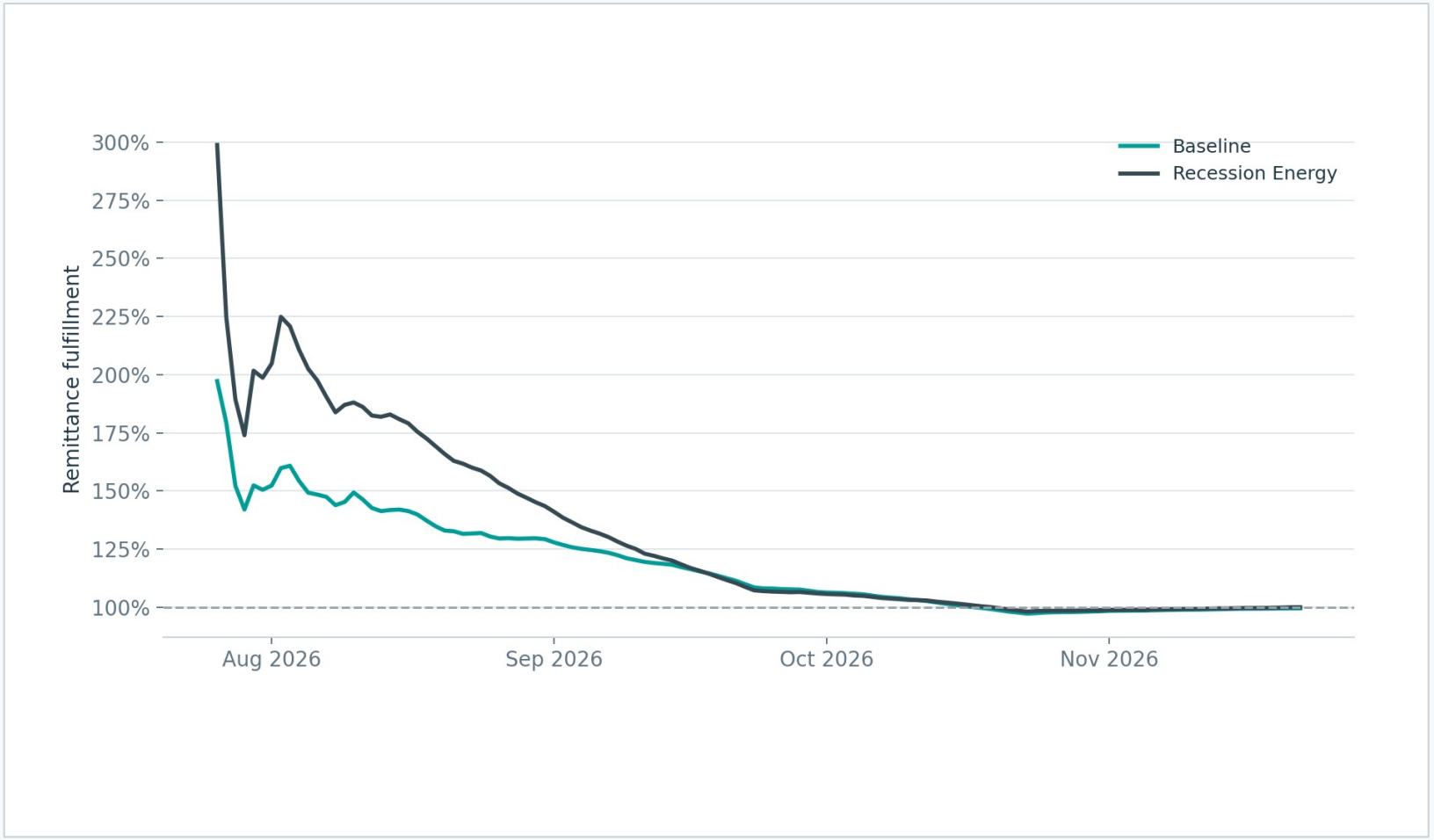
27 of 27 paid off

Interpretation

Runoff is deterministic synthetic-forward account evidence. It validates lifecycle mechanics and portfolio behavior; it is not a forecast of real collections.

Cumulative remittance converges to plan after early overperformance

The Baseline cohort finishes slightly below 100%; the stress cohort closes at exactly 100%.



Cumulative actual remittance divided by governed expected-to-date

Baseline

Starts above plan because early remittance is concentrated relative to expected-to-date, then converges to 99.5% at endpoint.

Recession Energy

The smaller funded cohort converges to 100.0% and carries no endpoint exposure.

Control point

Expected-to-date is reconstructed from canonical R1 monitoring semantics; it does not rely on the deprecated predecessor daily table.

Operational alerts peak before declining to a four-account endpoint population

Alert breadth and adverse status are related but distinct monitoring concepts.



Baseline monitoring breadth and adverse-status counts

PEAK ALERTED

34

2026-08-20

PEAK ADVERSE

20

2026-08-27

ENDPOINT

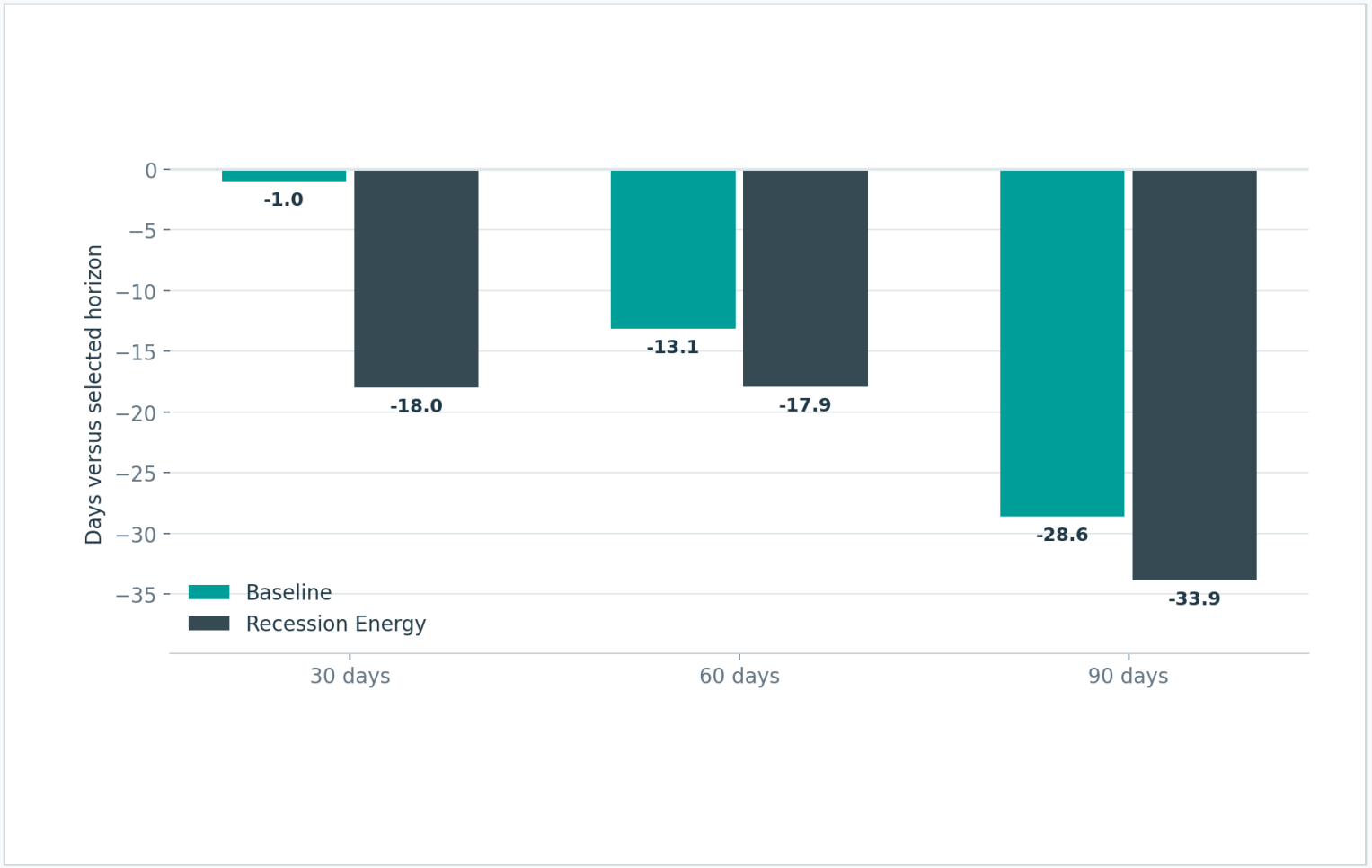
4

All severe shortfall

Watch and raw alert conditions are not automatically equivalent to servicing action. P04 is intentionally based on governed endpoint states and downstream M2.6-M2.10 results.

Most paid-off paths finish earlier than their selected horizon

Negative days-versus-plan denotes earlier payoff in the deterministic lifecycle simulation.



Average payoff timing relative to the selected 30/60/90-day horizon

BASELINE PAID OFF

99 / 103

96.1%

STRESS PAID OFF

27 / 27

100%

Baseline timing

Mean payoff is 20.9 days earlier than plan; median is 23 days earlier.

Stress timing

Mean payoff is 27.4 days earlier than plan; the payoff distribution remains earlier than plan through the 90th percentile.

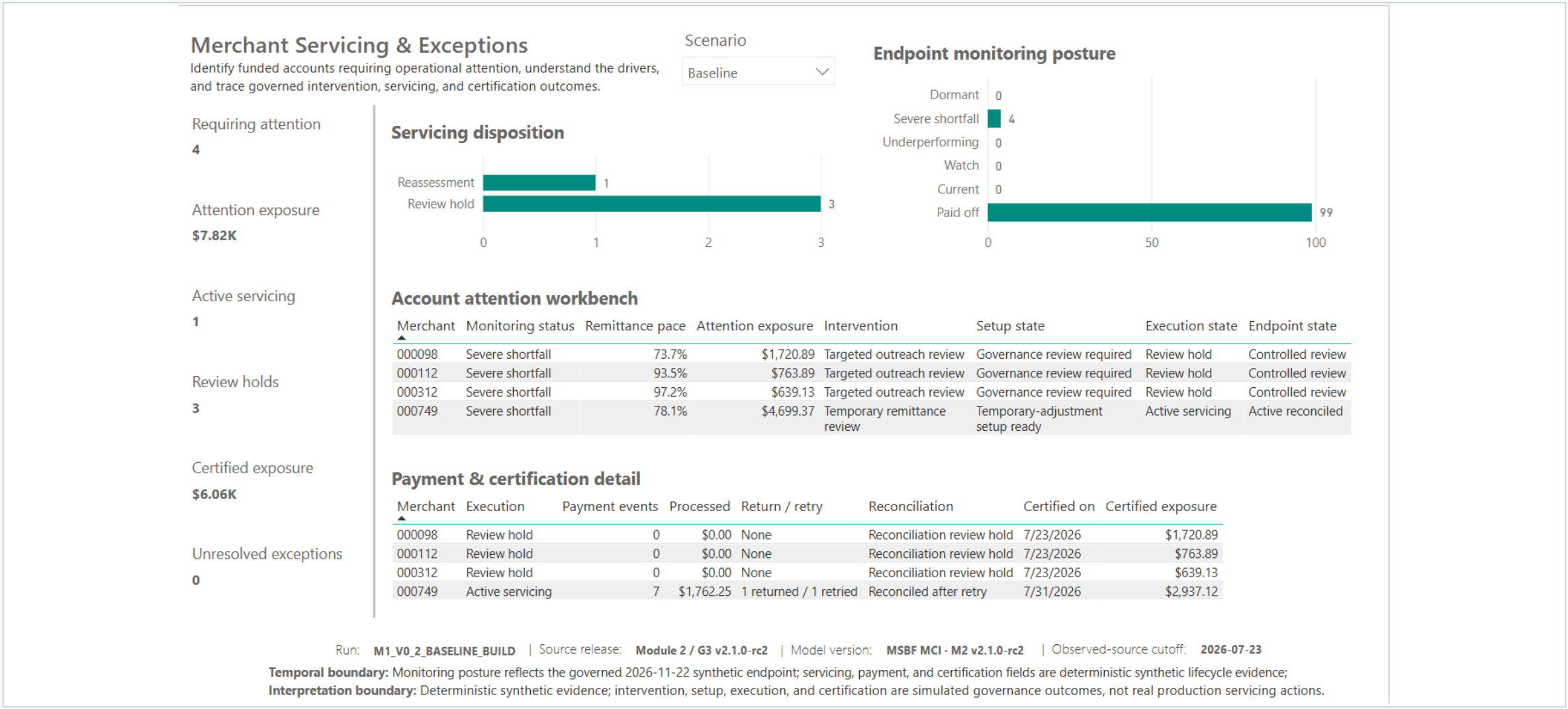
04

Servicing and exceptions

How the four Baseline attention accounts move from monitoring posture through intervention, execution, reconciliation, and certification.

Baseline servicing and exceptions

Four severe-shortfall accounts require attention; the page traces each through its governed servicing and certification chain.



Merchant Servicing & Exceptions

Identify funded accounts requiring operational attention, understand the drivers, and trace governed intervention, servicing, and certification outcomes.

Scenario: Baseline

Requiring attention
4

Attention exposure
$7.82K

Active servicing
1

Review holds
3

Certified exposure
$6.06K

Unresolved exceptions
0

Servicing disposition

Endpoint monitoring posture

Account attention workbench

Merchant	Monitoring status	Remittance pace	Attention exposure	Intervention	Setup state	Execution state	Endpoint state
000098	Severe shortfall	73.7%	$1,720.89	Targeted outreach review	Governance review required	Review hold	Controlled review
000112	Severe shortfall	93.5%	$763.89	Targeted outreach review	Governance review required	Review hold	Controlled review
000312	Severe shortfall	97.2%	$639.13	Targeted outreach review	Governance review required	Review hold	Controlled review
000749	Severe shortfall	78.1%	$4,699.37	Temporary remittance review	Temporary-adjustment setup ready	Active servicing	Active reconciled

Payment & certification detail

Merchant	Execution	Payment events	Processed	Return / retry	Reconciliation	Certified on	Certified exposure
000098	Review hold	0	$0.00	None	Reconciliation review hold	7/23/2026	$1,720.89
000112	Review hold	0	$0.00	None	Reconciliation review hold	7/23/2026	$763.89
000312	Review hold	0	$0.00	None	Reconciliation review hold	7/23/2026	$639.13
000749	Active servicing	7	$1,762.25	1 returned / 1 retried	Reconciled after retry	7/31/2026	$2,937.12

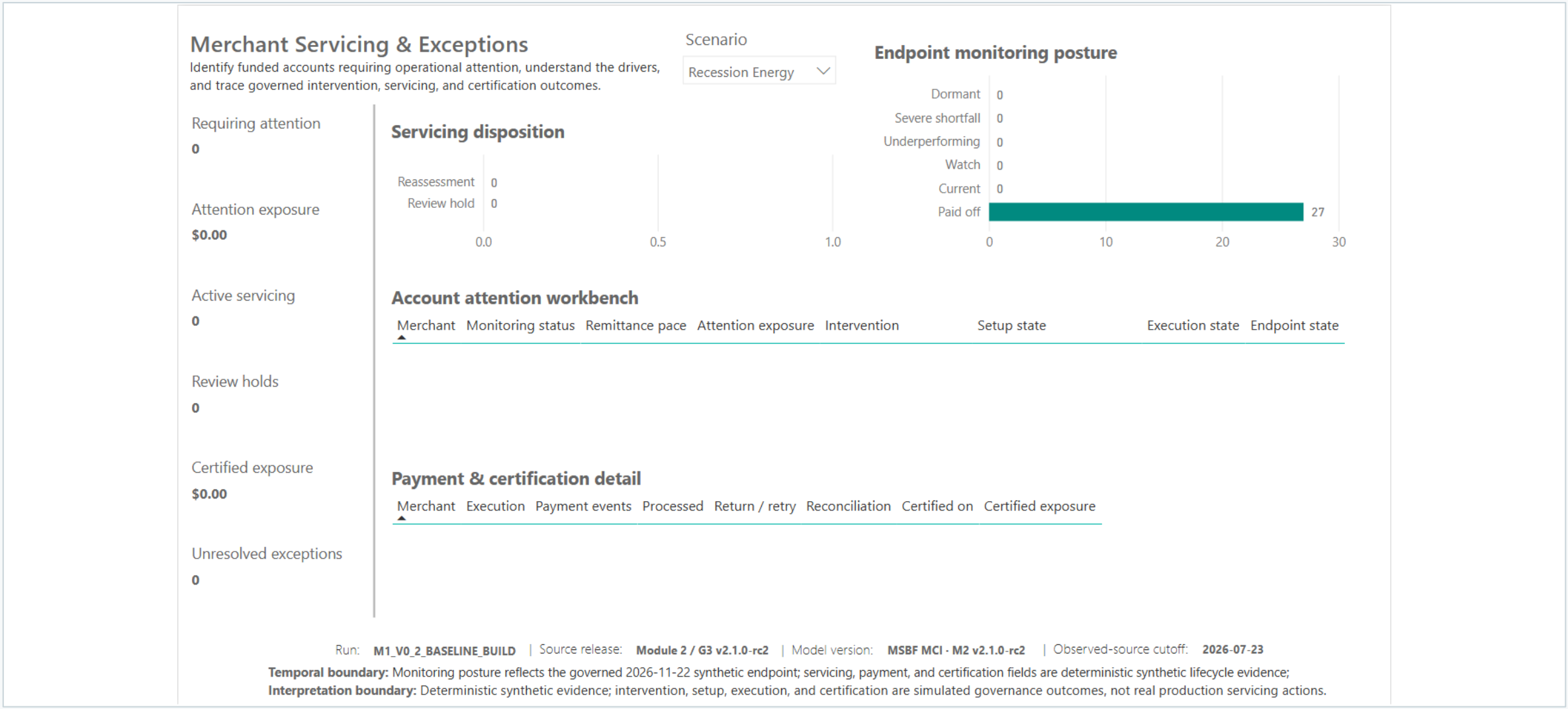
Run: **M1_V0_2_BASELINE_BUILD** | Source release: **Module 2 / G3 v2.1.0-rc2** | Model version: **MSBF MCI - M2 v2.1.0-rc2** | Observed-source cutoff: **2026-07-23**

Temporal boundary: Monitoring posture reflects the governed 2026-11-22 synthetic endpoint; servicing, payment, and certification fields are deterministic synthetic lifecycle evidence;
Interpretation boundary: Deterministic synthetic evidence; intervention, setup, execution, and certification are simulated governance outcomes, not real production servicing actions.

Power BI P04 - Baseline servicing and exceptions

Recession Energy servicing and exceptions

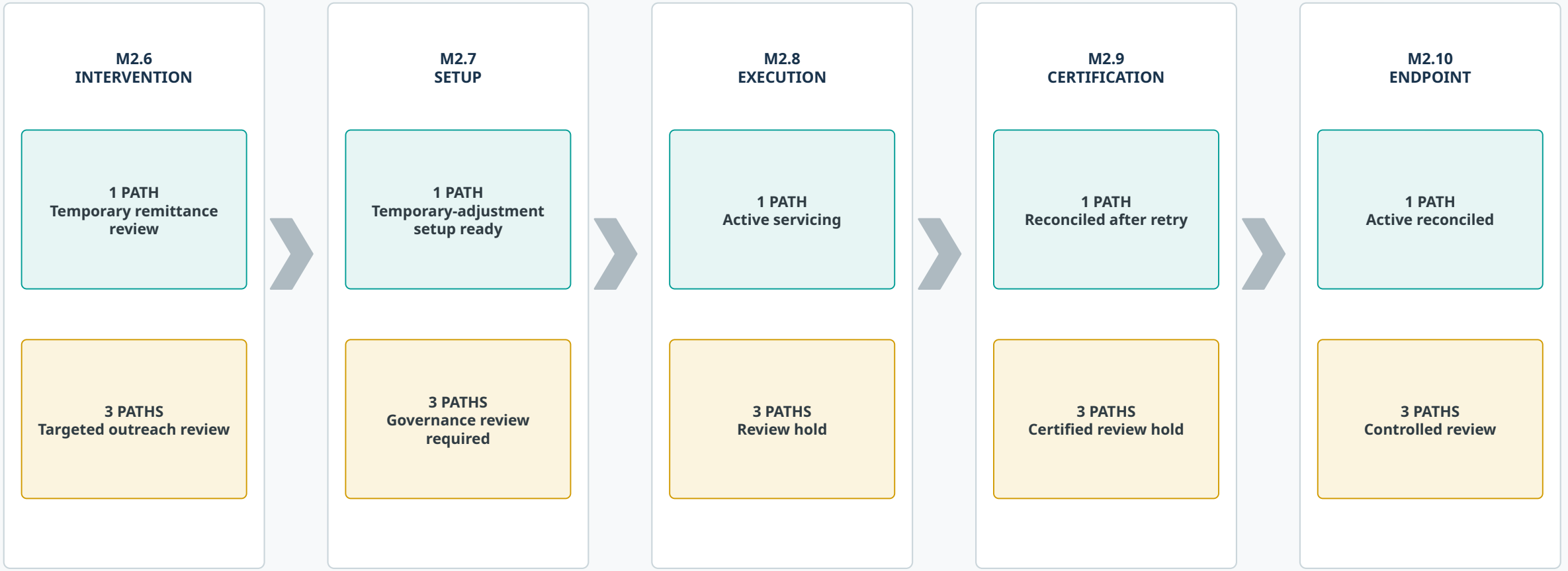
All 27 stress-funded paths are paid off at endpoint; no servicing or review population remains.



Power BI P04 - Recession Energy servicing and exceptions

The four attention paths split into one active reassessment and three governance review holds

The downstream chain preserves distinct intervention, setup, execution, reconciliation, and endpoint states.



The total funded-path population remains 130: 126 require no further action, three enter controlled review, and one completes active temporary processing with a resolved retry.

Four Baseline accounts explain all endpoint attention exposure

The workbench isolates exactly three review holds and one active-servicing account.

MERCHANT	INDUSTRY	PACE	ATTENTION EXPOSURE	INTERVENTION	EXECUTION	CERTIFIED EXPOSURE
000098	Professional Services	73.7%	$1,720.89	Targeted outreach review	Review hold	$1,720.89
000112	Healthcare Services	93.5%	$763.89	Targeted outreach review	Review hold	$763.89
000312	General Retail	97.2%	$639.13	Targeted outreach review	Review hold	$639.13
000749	Professional Services	78.1%	$4,699.37	Temporary remittance review	Active servicing	$2,937.12

M2.5 endpoint attention exposure

$7,823.28 before downstream processing.

M2.10 certified exposure after execution and reconciliation

$6,061.03 after $1,762.25 processed on merchant 749.

Exceptions

One return and one retry are fully reconciled; unresolved exceptions = 0.

05

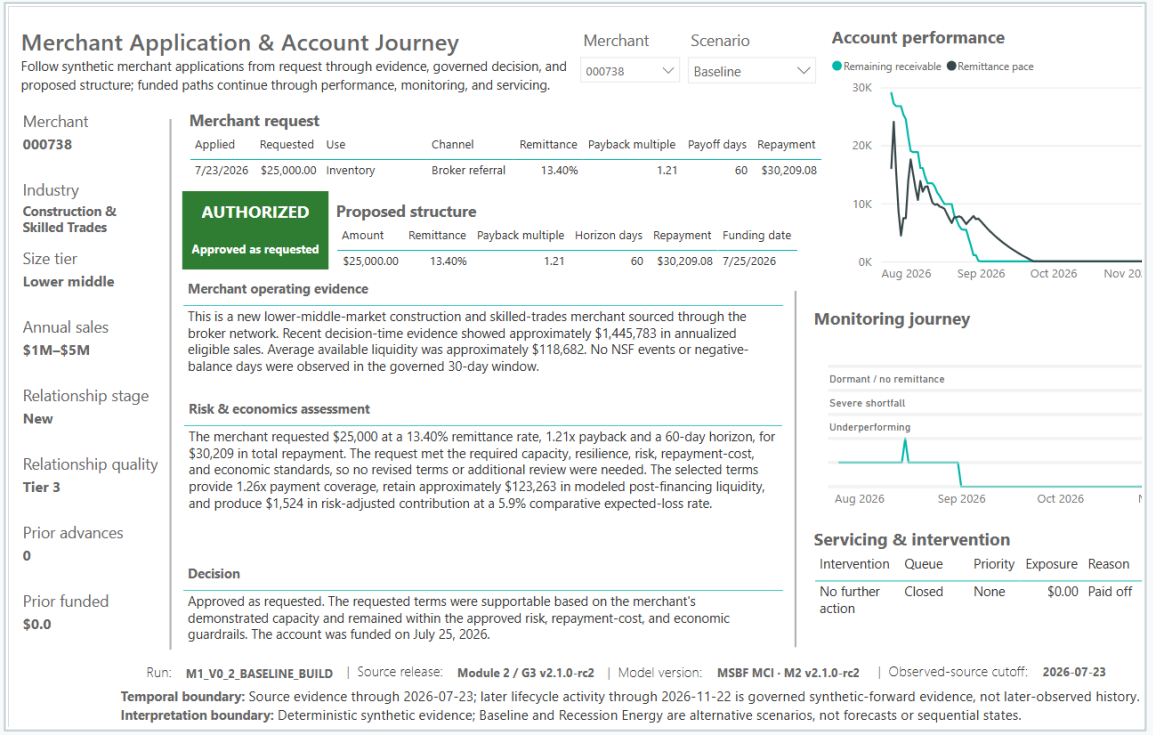
Application-level evidence

Representative merchant journeys demonstrate scenario isolation, review reasoning, stress-floor enforcement, and lifecycle traceability.

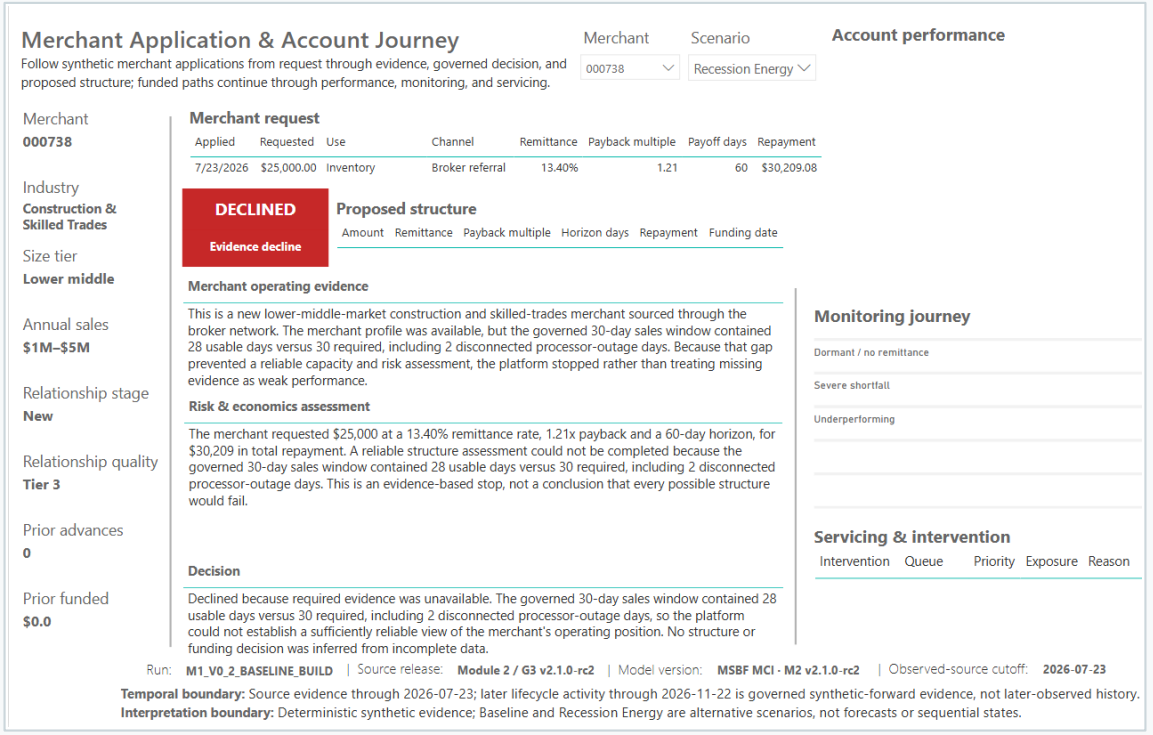
Merchant 738 - approval versus evidence decline

The same application is approved and funded in Baseline, but cannot proceed under stress because required evidence availability falls below the threshold.

BASELINE



RECESSION ENERGY



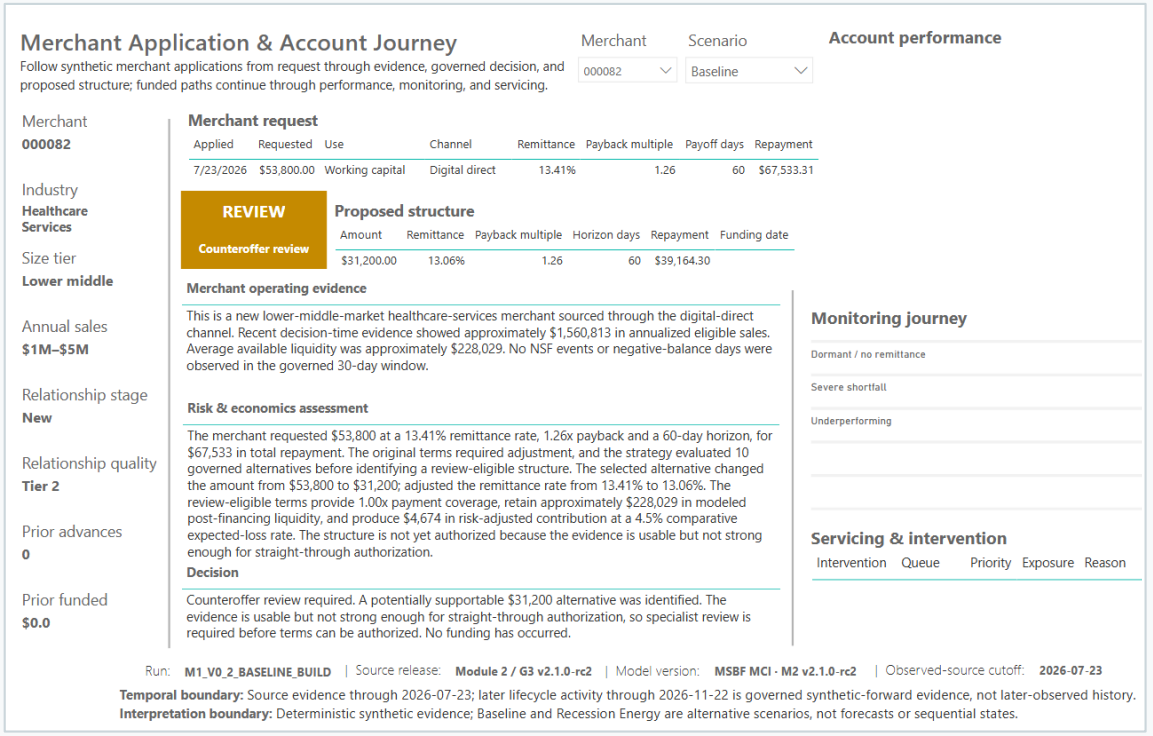
What the pair demonstrates

Baseline: $25,000 approved as requested, funded 2026-07-25, paid off. Stress: 28 usable days versus 30 required, including two disconnected outage days; no structure assessment, funding, monitoring, or servicing is permitted.

Merchant 082 - reviewable alternative becomes no-feasible under stress

The pair shows how a proposed counteroffer can remain review-only in Baseline and then fail the governed stress floor.

BASELINE



Merchant Application & Account Journey

Follow synthetic merchant applications from request through evidence, governed decision, and proposed structure; funded paths continue through performance, monitoring, and servicing.

Merchant: 000082 | Scenario: Baseline

Account performance

Merchant: 000082
Industry: Healthcare Services
Size tier: Lower middle
Annual sales: $1M–$5M
Relationship stage: New
Relationship quality: Tier 2
Prior advances: 0
Prior funded: $0.0

Merchant request

Applied	Requested	Use	Channel	Remittance	Payback multiple	Payoff days	Repayment
7/23/2026	$53,800.00	Working capital	Digital direct	13.41%	1.26	60	$67,533.31

REVIEW
Counteroffer review

Proposed structure

Amount	Remittance	Payback multiple	Horizon days	Repayment	Funding date
$31,200.00	13.06%	1.26	60	$39,164.30	

Merchant operating evidence

This is a new lower-middle-market healthcare-services merchant sourced through the digital-direct channel. Recent decision-time evidence showed approximately $1,560,813 in annualized eligible sales. Average available liquidity was approximately $228,029. No NSF events or negative-balance days were observed in the governed 30-day window.

Risk & economics assessment

The merchant requested $53,800 at a 13.41% remittance rate, 1.26x payback and a 60-day horizon, for $67,533 in total repayment. The original terms required adjustment, and the strategy evaluated 10 governed alternatives before identifying a review-eligible structure. The selected alternative changed the amount from $53,800 to $31,200; adjusted the remittance rate from 13.41% to 13.06%. The review-eligible terms provide 1.00x payment coverage, retain approximately $228,029 in modeled post-financing liquidity, and produce $4,674 in risk-adjusted contribution at a 4.5% comparative expected-loss rate. The structure is not yet authorized because the evidence is usable but not strong enough for straight-through authorization.

Decision

Counteroffer review required. A potentially supportable $31,200 alternative was identified. The evidence is usable but not strong enough for straight-through authorization, so specialist review is required before terms can be authorized. No funding has occurred.

Monitoring journey

Dormant / no remittance
Severe shortfall
Underperforming

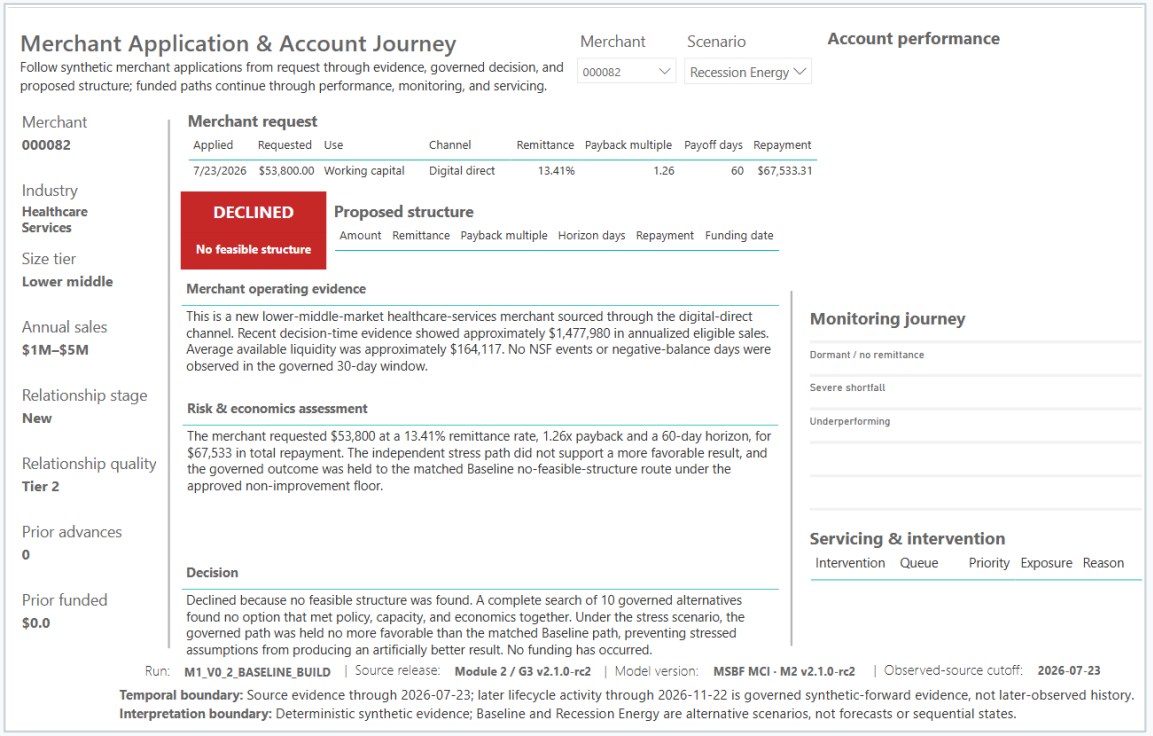
Servicing & intervention

Intervention	Queue	Priority	Exposure	Reason

Run: M1_V0_2_BASELINE_BUILD | Source release: Module 2 / G3 v2.1.0-rc2 | Model version: MSBF MCI - M2 v2.1.0-rc2 | Observed-source cutoff: 2026-07-23

Temporal boundary: Source evidence through 2026-07-23; later lifecycle activity through 2026-11-22 is governed synthetic-forward evidence, not later-observed history.
Interpretation boundary: Deterministic synthetic evidence; Baseline and Recession Energy are alternative scenarios, not forecasts or sequential states.

RECESSION ENERGY



Merchant Application & Account Journey

Follow synthetic merchant applications from request through evidence, governed decision, and proposed structure; funded paths continue through performance, monitoring, and servicing.

Merchant: 000082 | Scenario: Recession Energy

Account performance

Merchant: 000082
Industry: Healthcare Services
Size tier: Lower middle
Annual sales: $1M–$5M
Relationship stage: New
Relationship quality: Tier 2
Prior advances: 0
Prior funded: $0.0

Merchant request

Applied	Requested	Use	Channel	Remittance	Payback multiple	Payoff days	Repayment
7/23/2026	$53,800.00	Working capital	Digital direct	13.41%	1.26	60	$67,533.31

DECLINED
No feasible structure

Proposed structure

Amount	Remittance	Payback multiple	Horizon days	Repayment	Funding date

Merchant operating evidence

This is a new lower-middle-market healthcare-services merchant sourced through the digital-direct channel. Recent decision-time evidence showed approximately $1,477,980 in annualized eligible sales. Average available liquidity was approximately $164,117. No NSF events or negative-balance days were observed in the governed 30-day window.

Risk & economics assessment

The merchant requested $53,800 at a 13.41% remittance rate, 1.26x payback and a 60-day horizon, for $67,533 in total repayment. The independent stress path did not support a more favorable result, and the governed outcome was held to the matched Baseline no-feasible-structure route under the approved non-improvement floor.

Decision

Declined because no feasible structure was found. A complete search of 10 governed alternatives found no option that met policy, capacity, and economics together. Under the stress scenario, the governed path was held no more favorable than the matched Baseline path, preventing stressed assumptions from producing an artificially better result. No funding has occurred.

Monitoring journey

Dormant / no remittance
Severe shortfall
Underperforming

Servicing & intervention

Intervention	Queue	Priority	Exposure	Reason

Run: M1_V0_2_BASELINE_BUILD | Source release: Module 2 / G3 v2.1.0-rc2 | Model version: MSBF MCI - M2 v2.1.0-rc2 | Observed-source cutoff: 2026-07-23

Temporal boundary: Source evidence through 2026-07-23; later lifecycle activity through 2026-11-22 is governed synthetic-forward evidence, not later-observed history.
Interpretation boundary: Deterministic synthetic evidence; Baseline and Recession Energy are alternative scenarios, not forecasts or sequential states.

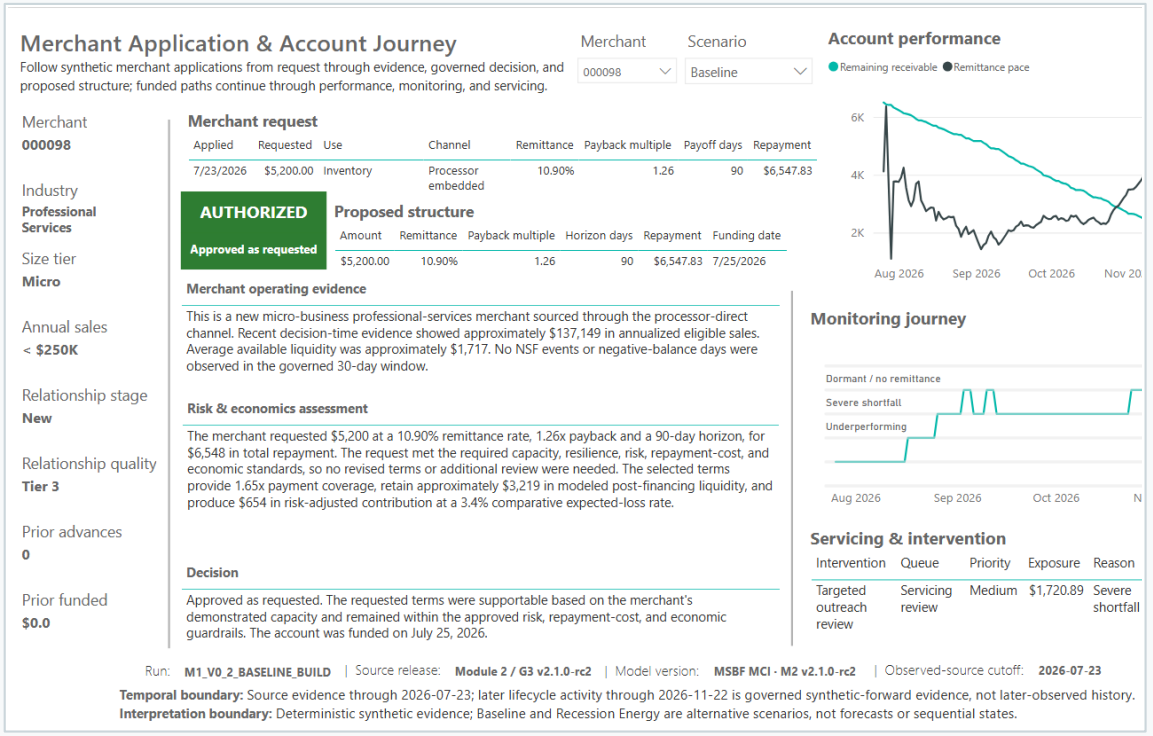
What the pair demonstrates

Baseline: $53,800 request, $31,200 review-eligible alternative, but evidence is not strong enough for straight-through authorization. Stress: complete search of 10 alternatives; no eligible path survives the matched Baseline non-improvement floor.

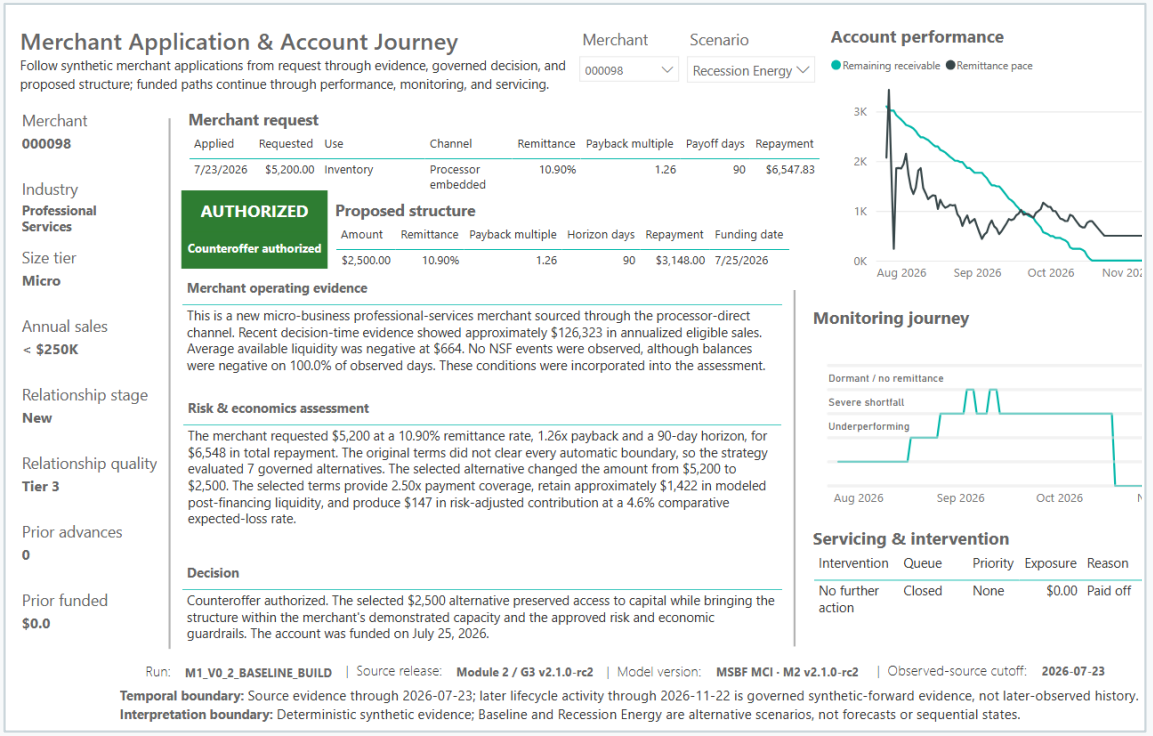
Merchant 098 - stress access preserved through a smaller counteroffer

A stressed path can remain authorized, but only through a controlled structure change that respects capacity and economics.

BASELINE



RECESSION ENERGY



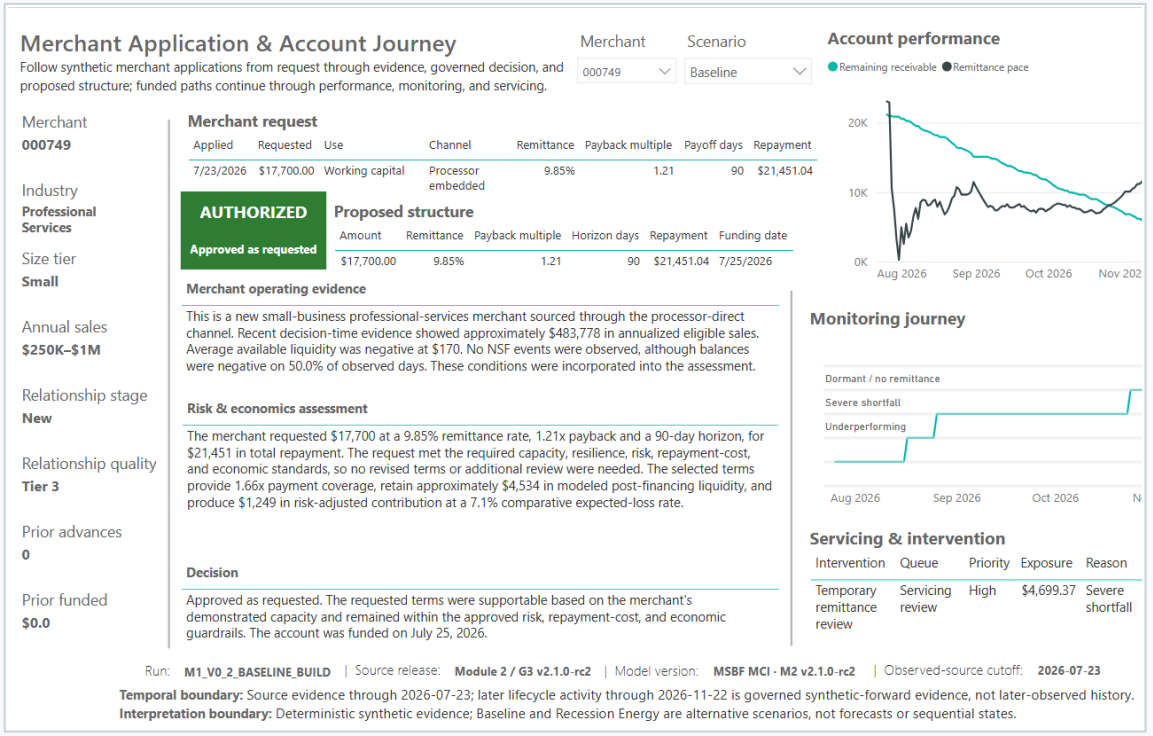
What the pair demonstrates

Baseline approves the request as submitted. Under Recession Energy, the $5,200 request is reduced to $2,500 after seven governed alternatives; the path is funded, runs through monitoring, and pays off with no further action.

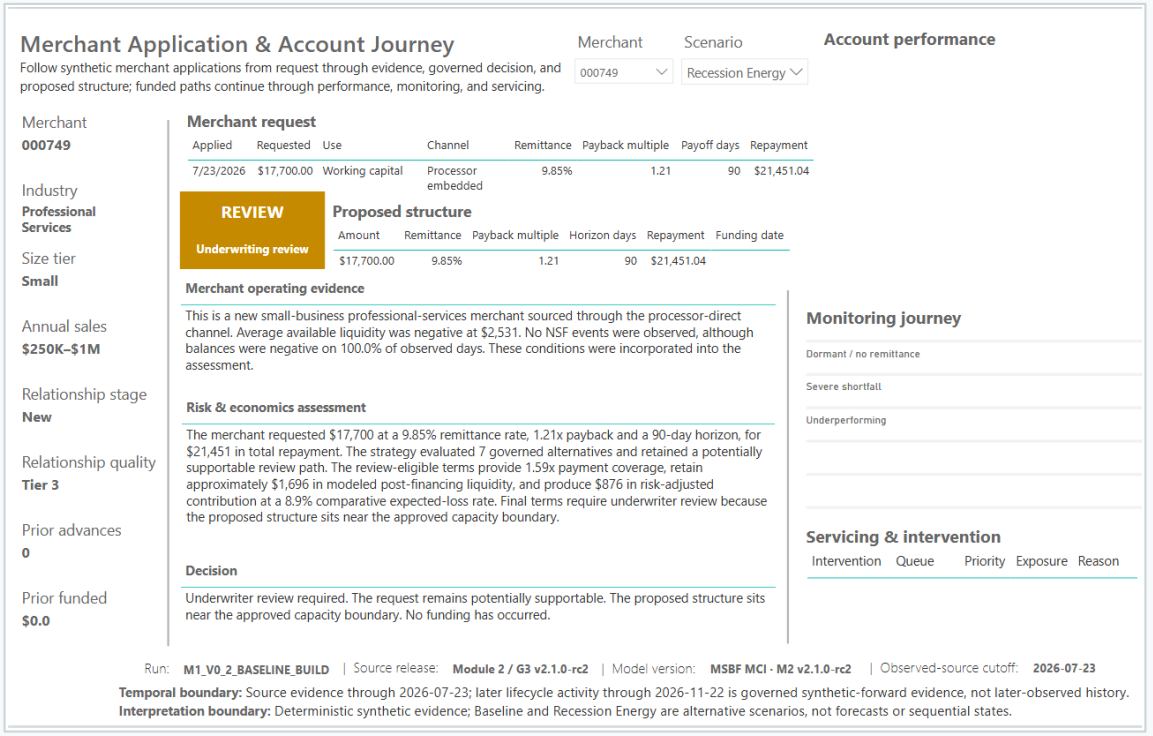
Merchant 749 - approval, active servicing, and stress review

The merchant demonstrates both the richest funded-account servicing path and a distinct non-funded stress review outcome.

BASELINE



RECESSION ENERGY



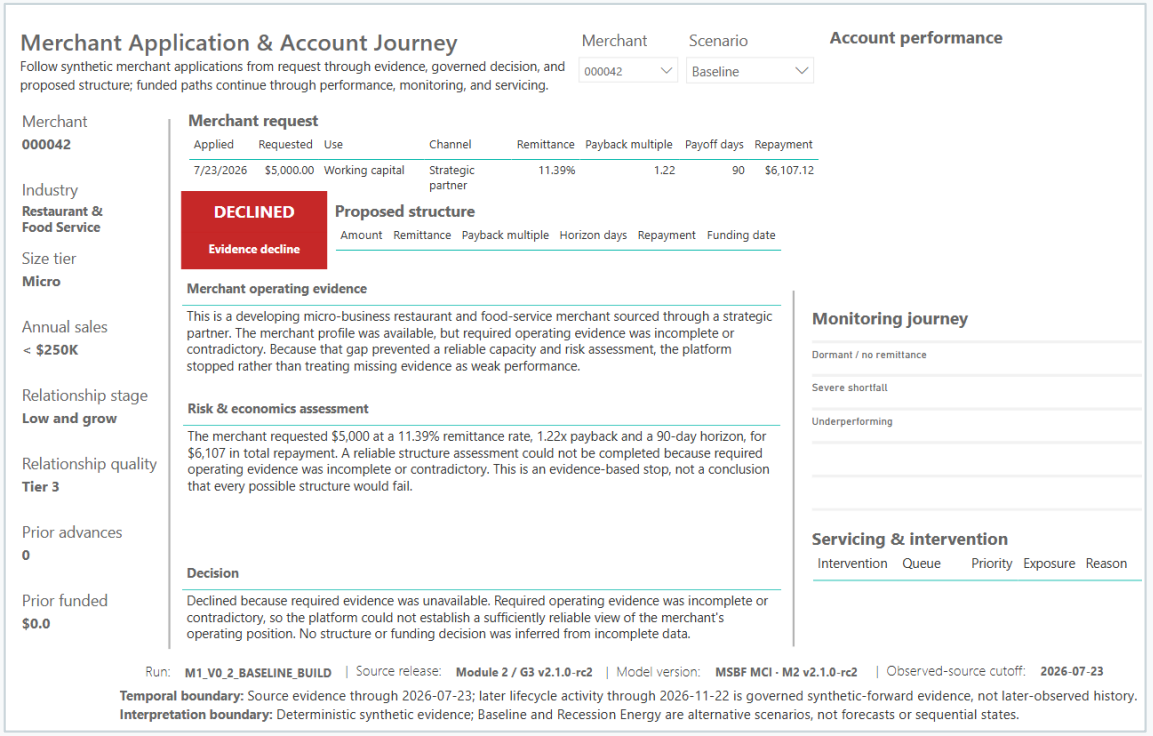
What the pair demonstrates

Baseline: $17,700 approved and funded; later severe shortfall triggers temporary-remittance review, seven payment events, one return, one retry, and $2,937.12 certified exposure after reconciliation. Stress: capacity/resilience remains review-only and no funding occurs.

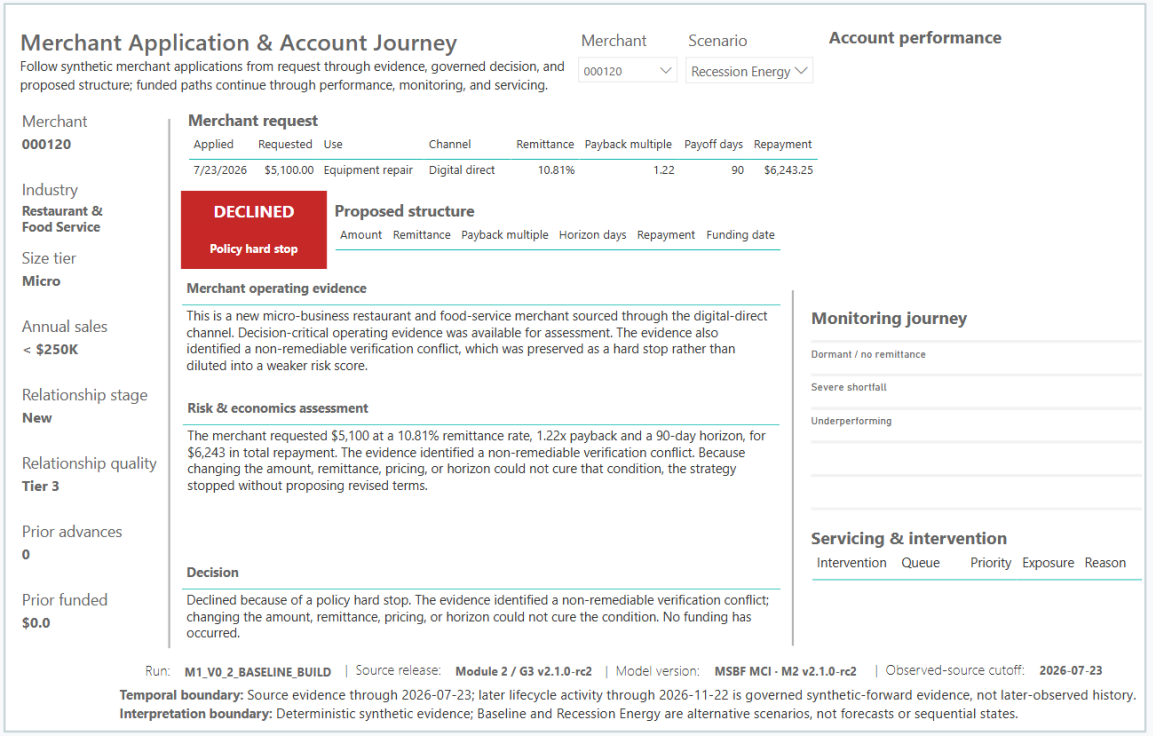
Evidence and policy boundaries remain distinguishable

The architecture preserves whether a path is declined because evidence is unusable or because a non-remediable policy condition controls.

EVIDENCE DECLINE



POLICY HARD STOP



Merchant 042

Required operating evidence is incomplete or contradictory; risk/economics assessment is withheld rather than treating missing evidence as weak performance.

Merchant 120

Decision-critical evidence is available, but a non-remediable verification conflict creates a policy hard stop that cannot be cured by revised terms.

06

Assurance and conclusions

What the evidence proves, the controls that support it, and the management implications of the initial cohort.

ASSURANCE

The Power BI conclusions reconcile to complete, exact-key successor populations

QA validates narrative semantics, monitoring coverage, scenario isolation, servicing stage equality, and endpoint reconciliation.

Narrative paths

1,500

All PASS

Daily monitoring rows

15,600

130 paths x 120 days

P03 operational failures

0

Exact reconciliation

Keys per M2.6-M2.10 stage

130 / 130

Set-consistent

Intervention distribution

126 / 3 / 1

Closed / outreach / temporary

G3-v2 certification controls

70 / 70

PASS

Scenario isolation

Merchant 738 proves the funded Baseline lifecycle does not leak into Recession Energy. Non-funded paths remain blank downstream.

Reconciliation

Certification and exposure variances are zero. The sole return/retry exception is resolved; unresolved exceptions remain zero.

R17: IA-D-R17-PBI-001 = ACCEPT. Owner-confirmed persistence/nonregression is CLOSED (PASS_WITH_OBSERVATIONS); no recapture is required. IA-PBI-PUB-HANDOFF-001 authorizes handoff only. Controlled publication and hosted-asset verification remain.

MANAGEMENT IMPLICATIONS

The initial cohort demonstrates a governed credit-intelligence product - not merely a collection of visuals

The strongest findings connect strategy design, risk control, lifecycle evidence, and operational traceability.

1	**Access is deliberately selective**	Baseline authorizes 13.7% and supports 40.0%; stress authorizes 3.6% and supports 10.7%.
2	**Evidence quality is decisive**	Stress evidence declines rise from 43 to 191, making availability and continuity as important as modeled economics.
3	**Structure search creates controlled alternatives**	300 Baseline and 80 stress paths remain supportable through requested terms or bounded remediation.
4	**The stress floor prevents artificial upside**	All stress authorizations are retained Baseline authorizations; none appear only under stress.
5	**Concentration and resilience differ by segment**	Processor Embedded and Relationship dominate Baseline; Strategic Partner and Transportation show stronger stress-dollar retention.
6	**Lifecycle performance is mostly clean**	126 of 130 funded scenario paths close stable; four Baseline accounts require controlled attention.
7	**Servicing is traceable and reconciled**	The one active path and three review holds remain exact-key linked through intervention, execution, certification, and endpoint state.

The analytical product is strongest when read as one continuum: application evidence -> governed decision -> proposed structure -> funded lifecycle -> monitoring -> intervention -> certification.

Initial 750-merchant cohort - key numbers at a glance

A compact reference for executive and validation use.

COHORT	BASELINE	RECESSION ENERGY	INTERPRETATION
Decision paths	750	750	Same fixed merchants under alternative scenarios
Authorized paths	103	27	Approve as requested + authorized counteroffers
Reviewable paths	197	53	Counteroffer review + underwriting review
Supportable paths	300 (40.0%)	80 (10.7%)	Authorized + governed review
Funded amount	$1,385,300	$344,200	Physical funded-lifecycle population only
Comparative expected-loss rate	9.4%	11.4%	Selected funded cohort; not CECL
Risk-adjusted contribution	$147,981	$30,032	Comparative modeled economics
Endpoint paid off	99 / 103	27 / 27	Deterministic synthetic lifecycle
Endpoint attention	4 accounts / $7,823	0 accounts / $0	Adverse monitoring states
Certified exposure	$6,061	$0	After execution/reconciliation
Unresolved exceptions	0	0	M2.10 endpoint

FORWARD VIEW

What the current cohort overview enables next

P01-P04 are complete and frozen for the rc2 publication candidate; P05/P06 remain excluded from the client-facing release.

Execute the authorized publication handoff

- Power BI audit: IA-D-R17-PBI-001 = ACCEPT
- Handoff: IA-PBI-PUB-HANDOFF-001 = AUTHORIZED
- Complete the separate final cohort-report review
- Execute controlled GitHub publication / public supersession
- Download hosted assets; verify filename, size, SHA-256 and Windows-native clean extraction
- Preserve the accepted Power BI bytes and R7 registers

Use the cohort analytically

- Examine concentration and resilience by industry and source
- Evaluate review workload and supportable-path composition
- Preserve scenario-isolated merchant case studies for stakeholder communication
- Design and validate a future decision-strategy challenger separately; current M2.11 profiles do not demonstrate high-level decision migration

Preserve boundaries

- Keep deterministic synthetic labeling explicit
- Do not reinterpret comparative expected loss as CECL
- Do not treat servicing simulations as production actions
- Do not collapse evidence, policy, no-feasible, and review outcomes into one decline category

This detailed cohort report is a read-ahead for the current P01-P04 publication candidate. A shorter executive extract is a separate, nonblocking follow-on.

07

Appendix

Detailed segment tables, metric definitions, and evidence/package records.

APPENDIX

Acquisition-source detail

Presentation-rounded acquisition-source results reconciled to cohort totals. Stress = Recession Energy.

SOURCE	SCENARIO	APPS	FUNDED	AMOUNT	SUPPORT	EL	END EXP
Broker or Lead	Baseline	90	9	$137.1K	38.9%	11.5%	$0
Broker or Lead	Stress	90	2	$19.0K	11.1%	13.7%	$0
Organic	Baseline	25	4	$39.5K	28.0%	8.4%	$639
Organic	Stress	25	0	$0	4.0%	N/A	$0
Owned	Baseline	35	6	$64.6K	31.4%	16.2%	$0
Owned	Stress	35	1	$5.0K	11.4%	21.3%	$0
Paid	Baseline	90	7	$85.7K	40.0%	7.3%	$0
Paid	Stress	90	1	$9.5K	12.2%	7.2%	$0
Processor Embedded	Baseline	255	36	$466.4K	42.4%	10.7%	$7.18K
Processor Embedded	Stress	255	7	$99.9K	11.4%	11.7%	$0
Relationship	Baseline	135	25	$417.6K	41.5%	6.9%	$0
Relationship	Stress	135	8	$93.3K	11.9%	8.6%	$0
Strategic Partner	Baseline	120	16	$174.4K	39.2%	9.6%	$0
Strategic Partner	Stress	120	8	$117.5K	7.5%	13.7%	$0

Normalized source-family crosswalk: slide 6. Segment expected-loss rates describe scenario-specific selected funded cohorts. A lower aggregate rate under stress may reflect selection/composition, not matched-path improvement; the path-level stress non-improvement floor remains controlling.

APPENDIX

Industry detail

Presentation-rounded industry results reconciled to cohort totals. Stress = Recession Energy.

INDUSTRY	SCENARIO	APPS	FUNDED	AMOUNT	SUPPORT	EL	RAC
Construction	Baseline	98	11	$162.0K	28.6%	14.4%	$11.2K
E-Commerce	Baseline	68	11	$101.5K	47.1%	10.0%	$10.5K
Energy	Baseline	60	6	$77.8K	31.7%	14.2%	$8.9K
General Retail	Baseline	120	7	$213.6K	39.2%	7.1%	$29.2K
Healthcare	Baseline	82	15	$124.0K	43.9%	6.2%	$13.2K
Professional	Baseline	112	30	$314.8K	58.0%	7.3%	$31.9K
Restaurant	Baseline	120	6	$54.2K	37.5%	8.4%	$7.1K
Transportation	Baseline	90	17	$337.4K	31.1%	11.1%	$35.9K
Construction	Stress	98	1	$10.9K	4.1%	10.8%	$0.8K
E-Commerce	Stress	68	3	$37.3K	16.2%	13.0%	$2.6K
Energy	Stress	60	2	$17.4K	5.0%	21.6%	$2.0K
General Retail	Stress	120	1	$5.5K	7.5%	10.0%	$0.9K
Healthcare	Stress	82	4	$48.8K	12.2%	8.7%	$5.1K
Professional	Stress	112	8	$67.1K	21.4%	8.2%	$5.7K
Restaurant	Stress	120	1	$17.7K	9.2%	9.9%	$1.8K
Transportation	Stress	90	7	$139.5K	8.9%	14.5%	$11.1K

Segment expected-loss rates describe scenario-specific selected funded cohorts. A lower aggregate rate under stress may reflect selection/composition, not matched-path improvement; the path-level stress non-improvement floor remains controlling.

APPENDIX

Metric and boundary definitions

Interpretation rules used throughout the deck.

TERM	CONTROLLED INTERPRETATION
Authorized paths	Approve-as-requested plus authorized counteroffers.
Reviewable paths	Counteroffer-review plus manual-underwriting-review paths; no funding is implied.
Supportable paths	Authorized + reviewable paths. This is not an approval rate.
Comparative expected-loss rate	Selected funded cohort expected loss divided by path-weighted EAD; not a CECL estimate.
Risk-adjusted contribution	Source-owned comparative modeled contribution after risk adjustment; not audited profit.
Attention exposure	Endpoint remaining receivable on Underperforming, Severe Shortfall, or Dormant / No Remittance paths.
Certified exposure	M2.9/M2.10 reconciled ending exposure after synthetic processing and certification.
Baseline / Recession Energy	Alternative governed scenarios for the same application population; neither is a forecast or sequential state.
Observed-source cutoff	Decision-time source evidence is fixed at 2026-07-23.
Synthetic-forward lifecycle	Funding, monitoring, servicing, and payoff after the cutoff are deterministic synthetic evidence through 2026-11-22.

Segment expected-loss rates describe scenario-specific selected funded cohorts. A lower aggregate rate under stress may reflect selection/composition, not matched-path improvement; the path-level stress non-improvement floor remains controlling.

APPENDIX

Evidence register and current project identity

The deck is traceable to organized owner evidence and the final Power BI publication candidate.

Owner-evidence presentation folder

94 clean PNG captures
- P01 Command Center: 32
- P02 Cohort Lifecycle: 32
- P03 Application Journey: 28
- P04 Servicing & Exceptions: 2

Separate owner evidence retains QA, tooltip, accessibility, and interaction captures.

Current Power BI identity

File: MSBF_Merchant_Credit_Intelligence_M2_v2.1.0-rc2.pbix
Size: 27,635,305 bytes
SHA-256: ca46e8551860836a0cf4ff9239c42fcf8df02f1705596b9f8ca1bd047b5294e4
Model label: MSBF MCI - M2 v2.1.0-rc2

R17 acceptance and publication boundary

IA-D-R17-PBI-001 = ACCEPT closes R16. IA-PBI-PUB-HANDOFF-001 = AUTHORIZED permits direct publication handoff. The R3 PBIX DataModel is unchanged; owner no-recapture signoff is accepted. Persistence/nonregression is closed with observations. GitHub publication and public supersession are not executed by this audit.

Evidence hierarchy

1. Accepted R26 facts and R17 audit/handoff authority
2. Accepted final PBIX model and installed DAX
3. Power BI full-page and segment captures
4. Narrative, monitoring, servicing, and QA captures
5. This deck's derived tables and charts

The private review carrier contains physical sources, byte sizes/SHA-256, row counts/grains, deterministic derivation logic, source-to-slide/claim maps, output-image identities, and reproduction results. It is not a public-release asset.